

A Project Report On

**“An Empirical Study on Financial Risk Tolerance of Selected Individual and
its impact on their Investment Decisions in Pune District”**

Submitted to

Savitribai Phule Pune University

In Partial Fulfilment of the Requirement for Award of

The Degree of

**MASTER OF BUSINESS ADMINISTRATION IN FINANCE
MANAGEMENT**

Submitted by

SWARUP NAMDEV BANDAGALE

MBA 2nd year

SEAT NO: 83897

Under the Guidance of

(Dr. Reshma Kabugade)



NBN SINHGAD SCHOOL OF MANAGEMENT STUDIES

(Academic year 2024-2026)

DECLARATION

I, the undersigned, hereby declare that the Field Project report entitled “**An Empirical Study on Financial Risk Tolerance of Selected Individual and its impact on their Investment Decisions in Pune District.**” written and submitted by me to the Savitribai Phule Pune University, Pune in partial fulfilment of the requirement for the award of degree of MBA Sem-IV under the guidance of **DR. Reshma Kabugade** is my original work and the conclusion drawn therein are based on the material collected by myself.

Place: Pune

Name: Swarup Namdev Bandagale

Date:



SINHGAD TECHNICAL EDUCATION SOCIETY'S
NBN SINHGAD TECHNICAL INSTITUTES CAMPUS

Approved by AICTE, New Delhi, Recognized by Govt. of Maharashtra &
Affiliated to Savitribai Phule Pune University (ID No.-PU/PN/Engg/432/2012)



S. No. 10/1, Ambegaon (Bk), Off Sinhgad Road, Pune 411 041

• Tel.: +91-20-24355041 / 42 • Website : <https://nbnstic.sinhgad.edu>

• Email : nbnssoe@sinhgad.edu

PROF. M. N. NAVALE

M.E. (Elec.), MIE, MBA
FOUNDER PRESIDENT

DR. (MRS.) SUNANDA M. NAVALE

B.A., MPM, Ph.D.
FOUNDER SECRETARY

DR. RAVINDRA H. BORHADE

M.E. Ph.D (SPPU)
PRINCIPAL / DIRECTOR

CERTIFICATE OF GUIDE

This is to certify that the **404 – Research Project Report** titled “**An Empirical Study on Financial Risk Tolerance of Selected Individual and its impact on their Investment Decisions in Pune District**” is a Bonafide work carried out by Mr. **Swarup Bandagale**, a student of MBA-II, of **NBN Sinhgad School of Management Studies, Ambegaon (Bk.)**, in partial fulfilment of the requirements for the award of the **MBA Degree of Savitribai Phule Pune University**. He has successfully completed this project work under our guidance and direction.

Date:

Place: Pune

Dr. Reshma Kabugade

Project Guide

Dr. Prakash Pise

HoD, NBNSSOMS

External Examiner

ACKNOWLEDGEMENT

I take this opportunity and privilege to express my deep sense of gratitude to Professor **M. N. Navale**, **Honourable Founder President**, **Dr. (Mrs.) Sunanda M. Navale**, Founder Secretary. The Sinhgad Technical Education Society, Pune and **Dr. Ravindra Borhade**, **Principal of NBN Sinhgad School of Management Studies Pune**. They have been a source of inspiration to me, and I am indebted to them for initiating me in the field of research.

I am deeply indebted to Faculty Member, **DR. Reshama Kabugade** , my research guide at NBN Sinhgad School of Management Studies Pune, without whose help completion of the project was highly impossible.

I wish to express a special thanks to all teaching and non-teaching staff members of NBN Sinhgad School of Management, Pune for their continuous support. I would like to acknowledge all my family members, relatives and friends for their help and encouragement.

Place: Pune

Name: Swarup Namdev Bandagale

Date:

CONTENTS

SR No.	Title	Page No.
1	INTRODUCTION	1
	1.1. Introduction to Topic	1
	1.2. Financial Investment	2
	1.3. Financial Planning	3
	1.4. Basic terms in Financial Investment	3
	1.5. Financial Risk tolerance	4
	1.6. Investment Behaviour	8
	1.7. Significance of the Study	9
	1.8. Need of the study	10
	1.9. Rationale of the study	11
	1.10. Scope of the study	12
	1.11. Limitations of the study	12
	1.12. Objectives of the Study	12
	1.13. Hypothesis of the study	13
2	LITERATURE REVIEW	14
	2.1 Literature Review	14
	2.2 Research Gap	19
	2.3 Research Problem Statement	19
	2.4 Research Questions	19
3	PROBLEM STATEMENT & RESEARCH HYPOTHESES	20-22
4	RESEARCH METHODOLOGY	23

	4.1. Introduction	23
	4.2. Research Design	23
	4.3. Research Variables	27
	4.4. Pivot Table	27
	4.5. Reliability Test	28
5	DATA ANALYSIS AND INTERPRETATION	29-49
6	FINDINGS, CONCLUSION, SUGGESTIONS AND FUTURE SCOPE OF THE STUDY	50
	6.1. Findings	50
	6.1.1. Data Findings	50
	6.1.2. Critical Findings	52
	6.2. Conclusion	52
	6.3. Recommendations and Suggestions	53
	6.4. Future scope of the study	53
	REFERENCES	54-55
	QUETIONAIRE	56-59

LIST OF TABLES

SR No.	Title	Page No.
3.1.	Table showing the result of Standard Deviation Test for Hypothesis testing of Objective-1	31
3.2.	Table showing the Model Summary for Hypothesis testing of Objective-1	31
3.3.	Table showing the result of ANOVA Test for Hypothesis testing of Objective-1	32
3.4.	Table showing the Chi-square Test for Hypothesis testing of Objective-2	33
4.1.	Table showing calculation of Target Population	35
4.2.	Table showing Krejcie and Morgan table	36
4.3.	Table showing calculation of Target Respondents	37
4.4.	Table showing Case Processing Summary	39
4.5.	Table showing Reliability Statistics	40
5.1.	Age of the respondents	41
5.2.	Education of the respondents	42
5.3.	Annual Income of the Respondents	43
5.4.	Occupation of the Respondents	44
5.5.	Sector of the Respondents	45
5.6.	Regular investment is a good habit	46
5.7.	Investor's Investment Preferences	47
5.8.	Investment out of monthly or yearly Income	48
5.9.	Duration of Investment	49
5.10.	Risk nature while investing	50
5.11.	Investor perception towards Fixed Deposit.	51
5.12.	Investor perception towards Systematic Investment Plan (SIP).	52
5.13.	Investor perception towards Equity Shares Investment	53
5.14.	Following is the amount that you will get if you invest one thousand rupees for five years in a savings account with an interest rate of 2%.	54
5.15.	Let us consider if a bank provides 1% of interest on the savings rate annually. Assume inflation rate as 2% per year. So, after one year can you see an increase in investment amount?	55

5.16.	Buying Company stock means?	56
5.17.	Buying company's bond means?	57
5.18.	Over the period in Indian Market best returns are generated through?	58
5.19.	Following is the objective to buy Medical Insurance.	59
5.20.	Consider that you are participating in a quiz competition. What option would you choose in the following situation?	60

LIST OF GRAPHS

SR No.	Title	Page No.
5.1.	Age of the respondents	41
5.2.	Education of the respondents	42
5.3.	Annual Income of the Respondents	43
5.4.	Occupation of the Respondents	44
5.5.	Sector of the Respondents	45
5.6.	Regular investment is a good habit	46
5.7.	Investment out of monthly or yearly Income	48
5.8.	Duration of Investment	49
5.9.	Risk nature while investing	50
5.10.	Investor perception towards Fixed Deposit.	51
5.11.	Investor perception towards Systematic Investment Plan (SIP).	52
5.12.	Investor perception towards Equity Shares Investment	53
5.13.	Following is the amount that you will get if you invest one thousand rupees for five years in a savings account with an interest rate of 2%.	54
5.14.	Let us consider if a bank provides 1% of interest on the savings rate annually. Assume inflation rate as 2% per year. So, after one year can you see an increase in investment amount?	55
5.15.	Buying Company stock means?	56
5.16.	Buying company's bond means?	57
5.17.	Over the period in Indian Market best returns are generated through?	58
5.18.	Following is the objective to buy Medical Insurance.	59
5.19.	Consider that you are participating in a quiz competition. What option would you choose in the following situation?	60

ABSTRACT

Risk is associated with each investment avenue and accordingly investors generally choose the investment option. Research was initiated with the aim to solve the mystery between risk tolerance and investment decisions. Current research has studied the association between risk tolerance of the investors and their choice for their investment.

Major objectives of the study were like to study various investment avenues preferred by the investors, analysing investors demographic factors and its association with their financial risk tolerance, to determine the investors financial literacy as well as their confidence in investment, to understand the relation between financial literacy and confidence in investment, and to determine the association between investors financial literacy and preference for investment. Considering these objectives, hypotheses were formulated.

Considering the objectives and hypothesis, systematic literature review was conducted. Extensive literature review was conducted on variables like investment behaviour, investment avenues, investment behaviour in gold, equity, real estate, insurance, FD's, mutual funds etc. Literature review was also consisted with the concept like risk tolerance, financial literacy, and investment confidence. From the literature review a research gap has been identified and it has been inferred that though many of the research studies conducted on investment avenues but still considering multiple investment avenues with risk tolerance, investment confidence and financial literacy, observed very less research. Hence this was considered as research gap and study was conducted. To achieve the desired objectives, a descriptive method research design was formed. Judgmental sampling and snowball sampling technique was used to approach the respondents. Total 491 respondents have filled out the questionnaire. Sample size was derived from the Krejcie and Morgan table of sample size. Data was collected through both the type's i.e., primary data and secondary data. Primary data was collected through a structured questionnaire. Data analysis was done in two parts. First part consisted of descriptive statistics and the later was with hypothesis testing. In descriptive statistics, frequency tables, charts, graphs, cross tables, mean, and standard deviation were used. For hypothesis testing statistical tools like Correlation, Chi-square test, regression and ANOVAs test were used. Results were interpreted and inferences were drawn. Research given various output and inferences. Education of the respondents had a significant effect on financial literacy. Knowledge of the investment avenue decides the investment risk. Various basic finance questions were asked like inflation, saving account investment, interest rates, CIBIL score, stocks. Data analysis figures show that investors prefer FD's most and it is followed by gold investment, insurance, and real estate investment. Investors are observed with less risk tolerance when it comes to equity and commodity.

Respondents replied that real estate investment is a moderate risk investment avenue. Around half of the respondents said that mutual funds have a moderate to high risk in investment. Risk tolerance was associated with investment avenues, and it has been observed investors showed less risk tolerance while investing in equity and commodity markets. From the hypothesis testing it has been observed that demographic factors had a significant relation with risk tolerance. Second hypothesis proves that financial literacy decides the investors' confidence during investment. Third hypothesis tested and it has been derived that risk tolerance of the investors is dependent on financial literacy. It can be said that higher the financial literacy better would be risk tolerance. Fourth hypothesis proves and explores the favourable association between investor's confidence and financial risk. Fifth hypothesis testing proved that investor's financial literacy decides the choices of Investment Avenue. Research studies conclude that demographic factors are very important variables for investment avenue preferences, risk tolerance,

investment confidence, financial literacy. Investors are suggested to invest with the objectives that fulfil their future needs by fulfilling today's needs. Hence Financial literacy is a very crucial factor that leads to wise investment decisions. Study proved that financial literacy has a direct association with investment preferences and risk tolerance.

Chapter 1

INTRODUCTION

1.1 Introduction to Topic

Everyone lives life with a goal, purpose, and dreams. To achieve it, one should have faith in his potential, consistent efforts, and hard work. Meanwhile, it requires enough wealth that provides confidence. Wealth is the power that can turn dreams, goals, and purpose into reality. If this wealth is used efficiently and responsibly, then it can enrich the lives of people.

Wealth plays an important role in everyone's life. It is needed everywhere like for an individual, for an organization as well as for a nation. Wealth is as important for everyone as blood is required in the human body. Accumulation of required wealth has always been the central part of daily economic activity. Since ages, we as human beings are involved in maximizing our wealth by involving oneself in different monetary activities. Many times, these wealth maximization efforts are taken by an individual or in a group by using practices accepted by all or sometimes unethical practices too. Ethical practices are always appreciated and accepted, and unethical practices are always condemned and not accepted.

It is the aspiration of the individual to increase and maximize his wealth. Individuals do not spend their income entirely on their expenses. To maximize the wealth, most individuals save a particular income from their earnings and invest in different investment avenues. This investment is generally done with the objective of arranging enough money for future expenses as well as generating more from the savings. There are many investment avenues available in the market. Investors apply his experience, knowledge, and rationale. He takes the advice from the experts and does a comparative study so he can get the best out of his investment. Everyone is concerned about the investment for the future irrespective of demographic like gender, age, qualification, income, and occupation because they know that today's investment will give a return tomorrow. Therefore, accordingly investors invest their today's savings for a better tomorrow. These decisions will decide tomorrow's lifestyle of investors.

Investment is not a new concept to any individual. In fact, it has become the buzzword today. Definition of investment describes the investment as increase in investment value over the time. Investment can be considered as an asset that generates the income and appreciates the invested asset. (James Chen)¹ Investment carries a hope of greater payoff in future against the investment done today. Therefore, it can be concluded that investment is the mechanism used for generating wealth in future.

People are well aware that keeping money idle is of no use. Money will be growing if it is invested wisely with a good sense of financial planning. Financial planning is making provision for future expenses by investing a small amount today. Financial planning is a road map that guides the investor in order to fulfil their dreams, wishes and plans. In short it is a process of setting long term as well as short term financial goals through investing, asset allocation or tax planning. There are many alternatives are available with the investors to invest his savings. These alternatives carry different opportunities as well as challenges. Each investment avenue comes with a certain risk associated and opportunity to get in return. Individuals assess the risk associated with each investment avenue as well as their own risk tolerance and then accordingly invest. But risk tolerance and investment choice are always observed as a mystery hence becomes the research topic for many of the researchers. To study this relationship various individual dimensions were used like investor's demography, psychology, lifestyle etc. Generally, it deals with individual behaviour and market conditions. Therefore, individual financial investment deals with behavioural finance.

Therefore, considering the above concept it was systematic research conducted with the objectives to determine the financial risk tolerance of the individual investment considering different investment avenues and its impact on investment behaviour.

1.2 Financial Investment

Investment: -

Investment is an important part of everyone's life. It ensures the safety in future for the individual. Everyone earns a limited income at the end of every month. Out of that partly spent on essentials and partly kept aside for future expenses. Some future expenses can be anticipated but what about those unanticipated expenses. Keeping saved money in hand will not give any increment in the amount that an individual saves. Therefore, the amount that can be saved after all the essential expenses should be invested in such an avenue that will yield some better results that can fulfil the

Investment ensures a good rate of return and an increment in the amount that individuals invest today. Investment can be done with various objectives. There are different alternatives where an individual can invest their capital. All investment alternatives have some pros, and some cons. Risk factor is always found to be attached with the investment option. Therefore, investment decisions should be done wisely according to the amount that to be invested and the amount that is expected through investment.

Future is uncertain and one should make provision by saving their idle resources and investing them to generate a specific amount of money to fulfil the future expenses and goals. Investment is the activity that includes buying and selling of financial assets or capital. Therefore overall, it can be concluded that investment is the activity that includes the current capital commitment to fulfil the future payments of expenses and compensates the investor following things.

- The current times of capital committed
- Risk associated with investment alternative
- Better rate of return considering inflation
- Uncertainty of future expenses and payments

Today financial investment requires capital management and enough pre planning of the capital uses. Expenses are unprecedented and one needs to make a provision in advance so these unprecedented expenses can be overcome. Current research study makes an attempt to understand the different investment avenues available in the market with their risk association and individual investor's investment pattern.

¹ James Chen, "Investment", <https://www.investopedia.com/terms/i/investment.asp>.

objectives of savings. Therefore, investment can be defined as "that part of man's stock which he expects to afford him revenue"-Adam Smith.² Here stock is referred to as total physical capital

² Rakesh Sharma, "Adam Smith: The Father of Economics", <https://www.investopedia.com/updates/adam-smith-economics>.

Objectives Investment: -



Fig 1.1: Objectives Investment

(Source: <https://amazonia.fiocruz.br/scdp/blog/story-in-italian/an-objective-of-your-investment-portfolio.php>)

Above mentioned are the objectives of financial investments. Every individual invests their capital to get appreciation into the principal amount invested. Better return on investment is another objective in financial investment. Safety of principal amount that ensures maximization in principal amount invested with no risk. Financial risk is the probability of the loss occurring in investment. Every individual invests in any investment option considering the risk associated with it. Generally, investors prefer low risk in their investment options. Getting tax benefits is one of the important features of financial investment.

Investor: -

“Investors are the individual or the organization who defer current consumption with the expectation that it will fetch higher increment in the current invested capital.”

Individual investors are the retail investors who save money from their income and invest in different investment options for better return on investment. Investors are of different types. These can be classified on the basis of nature of investment, based on objective of investment, on the basis of tenure of investment, on the basis of risk bearing capacity, on the basis of annual income, on the basis of age and gender etc. Some investors invest their capital for long term purpose whereas some investors invest their capital for short term purpose. Amount of investment depends upon the earnings left after essential expenses and annual income.

Therefore, some individuals invest bigger amounts whereas some investors invest small capital but consistently invest. Younger age preferences for investment differ from the middle and old age investors as the objective differs. Demographic profile of the investors has a significant impact on investment. But looking towards the ultimate aim of investment it can be said that all the investors invest their capital for better return on investment. Investors expect such an amount as return that will be higher than the time value of money

1.3 Financial Planning

According to the author Berk, Financial planning is meeting the aims of life through systematic management of capital and finance.⁴ Their aims in life include many dreams like having our own house, buying a car, children's education, children's marriage, retirement provision etc. A proper financial planning will make our dreams into reality. Therefore, systematic financial planning is very much essential, and it should be taught right from the childhood in the family.

Financial planning involves following steps.



Fig 1.2: Steps in Financial Planning

(Source: <https://sheroes.com/articles/steps-to-reach-your-financial-goals/NDM2>)

There might be different goals that individuals may have. But they need to prioritize the goals and accordingly financial planning to be done. Some goals are interrelated and can be achieved as the plan works smoothly.

Financial plan takes away all the uncertainty and risk in life and it brings happiness and peace of mind. A good financial plan can lead to a happy life and make others' lives happy and prosperous. Financial plan is concerned with optimum utilization of current monetary capital for better output in future. To get the benefits of the financial plan one needs to have patience to invest. One needs to take a thorough study of different investment options available, and risk associated with it.

1.4 Basic terms in Financial Investment

Following are the basic terms related to the research topic used in the current research study.

Financial Literacy: - Financial literacy term related with the financial knowledge and set of skills that helps the investors to make wise financial decisions. It helps the investors to optimum use of available financial resources for better return. It ensures the economic security and economic well-being of investors.

³John Schmidt (2023), "What Is Inflation and How Does It Work?" <https://www.forbes.com/advisor/investing/what-is-inflation/>

⁴Jonathan Berk (2021), Book "Financial Management", Pearson Publication

⁵Ms. Chetna Singh (2020), "Study of Women's Financial Literacy – A Case of BHU", Pacific Business Review International Volume 10 Issue 4.

⁶Mansi Jain (2022), "A Study of Investment Objectives of Women Investors", IJCRT | Volume 7, Issue 2 June 2022 | ISSN: 2320-2882

Investment: -Investment is engaging the capital today for better return tomorrow. Investment is the basic need of everyone, and they invest for accomplishment of certain goals and aims in future. Individuals can have multiple choices and can evaluate it on risk, return, liquidity, capital growth, income tax, principal amount to invest etc.

Risk: - Term risk is related to investment. It deals with loss of principal amount invested in investment options. Larger the risk, the larger the return is the rule of investment. Investors take the risk on the basis of tolerance they can bear. Risk is the one of the important criteria that helps the investors to take the decision of investment.

Risk Tolerance: - Risk tolerance is the level of risk that individuals believe to accept. Financial risk tolerance is related to the maximum level of volatility that an investor is ready to bear while doing financial investment. It describes the characteristics of investors and helps the investors to make the investment decision.⁷

Return: - Return is the ultimate aim of any investment. Investor expects a higher rate of return on the principal amount he invested. It varies with the investment option chosen by the investors. It also carries associated risk with investment. Getting a better return is the true motivation behind any investment.

Safety: - Term safety in financial investment carries two broad meanings. One is related to the principal amount invested by the investor and the other is related to the safety in getting return on investment. Again, here safety is varying with Investment Avenue chosen by the investors. As well as safety associated with risk of the investment avenue. If the investor chooses the less risky investment option, then it will ensure higher safety of principal amount and return. In India investors prefer the less risky investment options like fixed deposits, life insurance, government bonds etc.

Liquidity: -Liquidity is related with the easiness a security can be bought or sold in a secondary market. It deals with how quickly an investment can be converted into cash. Investors prefer balanced liquid investment so safety of funds can be achieved with maximum return.

1.5 Financial Risk tolerance

Definition of Financial risk tolerance: - According to Cordell (2001) “Financial risk is the maximum degree of uncertainty someone is willing to accept when making a financial decision that entails the possibility of loss.

The term risk is often used by us in day-to-day life. Risk is the probability of unfavourable results that any individual doesn't want to occur. People make the decisions in life on the basis of the amount of risk associated. If risk is more, individuals become reluctant to take the decision. If the risk is bearable then they take the decision. When it comes to financial investment risk tolerance can be understood from the following description.

- Financial risk tolerance is the degree of volatility in the investment that any individual can tolerate.
- Financial risk is the probability of unfavourable outcomes from the financial investment.
- Financial risk tolerance is the amount of loss when investors incur the risk. From the above explanations it can be inferred that risk tolerance affects the individual's financial investment decision making.

Importance of measuring financial Risk Tolerance: -

When any individual makes a financial decision to invest the capital, financial risk tolerance becomes imperative to measure. A person having higher risk tolerance tends to take the decision of investing capital in risky avenues considering higher rate of return and wealth maximization. Whereas

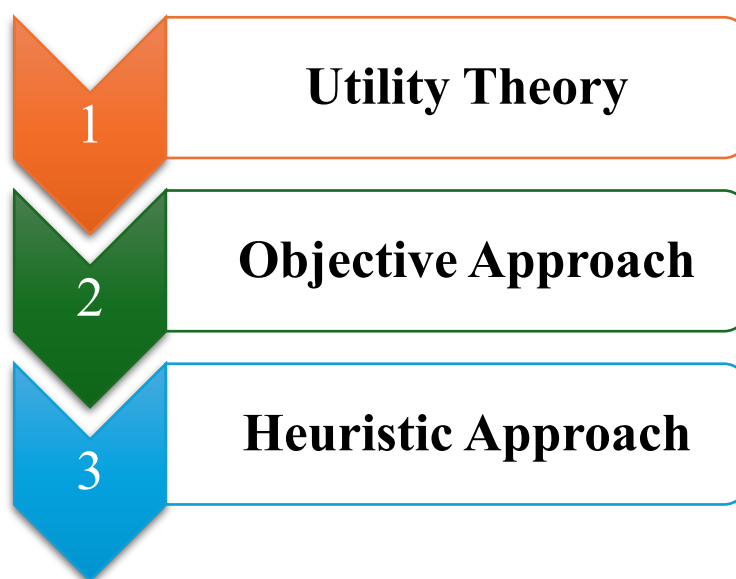
the individual having low risk tolerance level generally prefers less risky investment options for capital investment considering more safety and moderate rate of return. Between higher risk tolerance and lower risk tolerant investors one more category of investors found i.e., moderate risk tolerant investors who invest their capital in such investment avenues where risk and return are moderate and attempt to make trade-off between them.

So, on the basis of the above description, it can be concluded that financial risk tolerance is the individual's financial attitude that can be observed during his financial investment decision. Therefore, measurement of such an attitude i.e., risk tolerance becomes imperative for investors as well as various investment organizations in the market.

Measurement of risk tolerance is important for the investors in the view of identifying the right combination of investment portfolio that ensures the optimum combinations of risk associated and return expected from the investment. It ensures the investor with safety in investment and fulfilling the need/objective of the investors.

Measuring investors' risk tolerance found important in view of investment companies too. It helps them to analyse the profile of investors whether they are risk takers or risk averse. On that basis they can systematically develop the investment plan to accomplish their objectives. It will guide the companies to formulate and develop the investment products that will gain the confidence of investors.

Risk tolerance measurement methods: -



1. Utility Approach: -

This approach is derived from the “Utility Theory”. This approach determines the risk tolerance in terms of risk premiums. Here risk premium refers to the amount that an individual is ready to compromise from the expected monetary value of an investment to come out from the risk. Risk aversion is the key driver of this approach. It considers absolute risk aversion and relative risk aversion. This approach depicts that the more risk averse individual, ready to pay more premium to avoid the risk

2. Objective Approach: -

Every individual invests a particular amount of capital in different avenues. Objective approach considers the way investors choose the allocation of capital for investment and this depicts the investors risk preference and his risk averse nature. Many researchers have advocated this approach with the following assumptions.

- Investor's investment capital allocation is the personal choice and not the effect of third-party advice.
- Investors are aware of the level of risk associated with asset allocation options.

3. Heuristic Approach: -

Heuristic approach considers various variables to measure the financial risk taken by the investors. This approach considers the three variables i.e., Demographic, Socio-economic and attitudinal variables. In this approach regression models are developed between above mentioned variables and financial risk tolerance of the individual investors.

Types of Risk Tolerance: -

From the above literature it can be inferred that risk tolerance is the amount of loss that an investor is prepared to handle during his investment decision. On the basis of the degree of risk taken by the investor, risk tolerance can be classified into three categories.

- 1. Aggressive**
- 2. Moderate**
- 3. Conservative**

Following is the description of each type of risk tolerance.

1. Aggressive: -

Aggressive investors are those investors who are well aware about the market and take higher risk in investing. These investors are experienced and have potential to invest in multiple investment options. In their investment journey they found ready to invest irrespective of the upward and downward movements in the market.

Such investors usually invest in highly liquid options like equities. As the amount of risk is higher obviously, they get big returns when the market is moving positively and giving good returns. At the same time chances of bearing the loss are also the same when the market moves opposite.

2. Moderate: -

Moderate risk tolerance is such a category of risk tolerance where investors make the balance between risk and safety. In these categories investors usually take the limited loss and use the percentage of loss as well as profit to book. These investors are less risk takers when compared with aggressive risk tolerant investors. Therefore, when the market is doing well, aggressive investors gain more returns and moderate risk tolerant investors get comparatively less returns. But on the other side, moderate risk tolerant investors do not suffer huge losses when the market falls.

3. Conservative: -

These are the least risk takers in the market and do not attempt a risky investment at all. This type of investors prefers investments like FDs and PPF where the rate of return is less, but risk is very less or negligible.

⁷Dr. Ebrahim Kunju Sulaiman (2020), "An Empirical Analysis of Financial Risk Tolerance and Demographic Features of Individual Investors", Elsevier, Procedia Economics and Finance 2 (2020) 109 – 115

⁸<https://corporatefinanceinstitute.com/resources/knowledge/trading-investing/risk-tolerance/>

Factors associated with risk tolerance: -

Following are the factors associated with risk tolerance.

- 1. Timeline**
- 2. Demographic Factor of Investors**
- 3. Goals of investment**
- 4. Portfolio Size**
- 5. Investor Comfort Level**

Each of the above-mentioned factors associated with risk tolerance can be explained as follows.

<https://corporatefinanceinstitute.com/resources/knowledge/trading-investing/risk-tolerance/>

- 1. Timeline:** - Investment duration varies from investor to investor considering the investment avenue and risk associated with it. Investors who invest for a longer 11 period of time take more risks than the investors looking for the same returns in the short period of time.
- 2. Demographic Factors of the Investors:** - Demographic factors of the investors includes age, gender, occupation, income, no. of dependent etc. These factors impact on the risk tolerance of concerned investors. For example, younger age investors are most likely higher risk takers than middle or old age investors. They prefer the investment options like equities, mutual funds rather than FD's and other conventional investment options.
- 3. Goals of Investment:** - Each investor does the investment with different goals, and it impacts on risk tolerance of the investor. Gaining high returns is not the only goal of financial planning for many. Calculated goals carry investment with calculated risk. Hence each individual takes risk tolerance on the basis of goals set by him.
- 4. Portfolio Size:** - If the portfolio of the investor is larger than risk tolerance also found higher. These investors invest larger capital in different investment avenues considering the higher risk.
- 5. Investors Comfort Level:** - Each individual is having a different comfort level in handling the risk. Some are found comfortable while taking the risk and some do not as markets carry much more volatility. Therefore, comfort level is directly associated with risk tolerance of investors.

1.6 Investment Behaviour

Investment behaviour is the psychological process and consists of how investors judge, predict, analyse, and decide for investment.⁹ Investment done with certain objectives and expects wealth maximization over the period of time.

Investment behaviour is risky as it is based on uncertainty of the future market. Investment behaviour is related with risk inclination, preferences, and attitude of the investors towards the investment decision. Herding is the factor that influences the investment behaviour. Investors while investing follow others and get imitated by others' investment.¹⁰ Studying investment behaviour is beneficial for both investment companies as well as investors. It helps the companies to understand how investors think and expects. Investors also get to know their thought process and it will act like a mirror to them. Concept of investment behaviour studied by many scholars under the newly emerged segment in finance known as behavioural finance.

Behavioural Finance

In academic finance can be categorised as conventional and modern. Conventional finance focuses on portfolio theories and efficient market hypothesis. On the other hand, modern finance related with the newly emerging segment called behavioural finance studies individuals psychological and

sociological aspects affecting the financial decision-making process.¹¹ Therefore behavioural finance consists of psychology, sociology, and finance.

Investors do not always adopt rational behaviours as conventional finance theories explain, but sometimes they invest thinking irrational. This is based on cognitive thinking and prejudices. Therefore, behavioural finance attempts to illustrate the mental thought process of investors, their reasoning patterns, emotional process, and the level of influence on decision making. From the human perspective it elaborates what to invest, how to invest, when to invest, why to invest etc.

1.7 Significance of the Study

The purpose of the current research is to provide evidence as to the behaviour and determinants of financial risk tolerance. In addition to an analysis of the relationship between risk tolerance and investment decisions, special attention shall be given to issues surrounding Financial Literacy and Investment confidence of individual investors.

The assessment of financial risk tolerance after a specific period of time is an important measure both for the investor as well as financial advisor. Therefore, financial risk tolerance of individual investors should be used for better decision making and promoting suitable financial products to the prospective investor for better success. This will have the potential to have a big impact on those in the financial industry, as well as top-level policymakers, by raising their attention to the role of behavioural factors among various individuals.

It's also important to keep in mind that this study is limited to a single place and does not claim to replicate exactly the same results on a wider demographic scale. Because any change in location, region, population, or size may affect the results reported here, it is recommended that the current results be referenced only in similar sampling settings and domains.

The following are the expected effects on many aspects of society:

1. Impact on individual investors expected:

This study will serve as a resource for a variety of people who are considering or have already begun investing in various investment options. They will gain a better understanding of the risks involved as well as learn about various facets of investment behavior as a result of the research. It will encourage investors to think about and study all price movements before making any investment decisions, as well as their own personal characteristics. 2. Impact on investment industry expected: The research presented here will provide a conceptual framework of irrational decision-making to various security firms, which will aid them in forecasting the future and so deliver more reliable information to their clients. This study will benefit investment firms by providing an overview of investor behaviour in relation to the numerous investment alternatives available to them. The study will also aid in the understanding of various investor behavioural biases linked with varied risk tolerances, allowing these firms to implement various techniques in order to create more personalized portfolios for their clients.

⁹Yu-Je Lee (2021), "The Investment Behaviour, Decision Factors and Their Effects Toward Investment Performance in the Taiwan Stock Market", Corpus ID: 1072088. jgbm.org

¹⁰van Raaij W.F. (2024) Investment Behaviour. In: Understanding Consumer Financial Behaviour. Palgrave Macmillan, New York. https://doi.org/10.1057/9781137544254_7

2. Impact on Academicians expected:

Academicians (specifically from the psychology and finance domains) will benefit from this research by better understanding the various behavioural aspects of an individual that influence their personality, which will aid them in better understanding and moulding their personality traits, if necessary. The study adds to the ongoing debate over the effectiveness of psychological factors in predicting an individual investor's financial risk tolerance. Academics will be able to examine new concepts and their interdependence in the field of behavioural economics as a result of this research. To that purpose, a database containing a psychometrically generated financial risk tolerance score (RTS) for over 491 surveyed persons, as well as each respondent's demographic details, has been assembled. This information will be evaluated in order to gain a better understanding of the nature of financial risk tolerance and investment patterns.

1.8 Need of the study

Looking towards growth in individual income from the last two decades especially among the middle class and higher middle-class strata, an increase in saving habits of people has been observed. Term Financial Planning becomes the buzz word. Therefore, individual financial planning gained substantial importance in recent years. This depicts the excellent growth in the economy as well as increase in individual income level.

In this situation common people anticipate the future expenses and make the provision for those expenses by saving some part of their income and investing in such instruments that provide better return. Saving is the difference between the individual's earnings in a particular period and expenses incurred. Earlier people used to spend their maximum portion of income rather than saving. Fulfilling basic needs in limited income was the objective. But gradually with countries' economic development rise in income of individuals can be observed.

Today there's a great need for investment culture to be cultivated among the individuals for capital formation, better financial prospects in future and faster growth of nations economy. It is a universal truth that economic development of any nation depends on productivity, capital formation and it can be achieved by optimum utilization of domestic resources. These domestic resources include nations' saving and investment patterns. It will bring nations economic development and stability in the capital market. This required a sound awareness of savings and investment among the investors, change in their perception towards the investment and bringing motivations towards the investment habits.

Choice of investment differs from individual to individual. Basically, it depends on the needs and objectives of the investor behind his investment, which actually guides and helps to select the right choice of investment.

There are other factors too that affect his investment behaviour like individuals' financial investment awareness, risk associated with each investment avenue and risk tolerance of investors, demographic factors, as well as psychological aspects etc. Therefore, it is an attempt to understand the level of awareness of financial investment, demographic factors, and their effect on choice of Investment Avenue. Therefore, keeping above aim current study has its own importance beneficial to individual investors, marketers, and government policies.

¹¹ Victor Ricciardi and Helen K. Simon (2019), "What is behavioural Finance?", Business, Education and Technology Journal Fall 2000

1.9 Rationale of the study

Behavioural finance is not a new concept among the researchers in developed nations. But very few studies have been conducted on this topic in India. Savings, investment, risk associated with investment instruments, risk tolerance, factors affecting on choice of investment, better results on investment etc. have paid less attention by the researchers in India. This study made an attempt to study risk tolerance of Indian investors and factors affecting their investment decision. It also studies the factors that contribute to individual financial planning, risk attitude, and objectives behind the investment.

Investor's decision of investment and choice of investment avenue depends on many factors like gender, age, earning, occupation, financial literacy etc. Therefore, the investment industry should understand the requirements of each stratum and they should not give the equal treatment by delivering the homogeneous products and services to these investors. They should bring the products as per the requirement of investors considering different factors and by applying suitable targeted strategies.

The purpose of this study can be explained in two phases. The primary objective of the study is to understand the awareness of investment avenues among the investors with their preferred investment avenue, their perception towards it, motivation behind it and expected return from the investment. Secondary objective of the study is to find out the factors motivating the investment behaviour, factors contributing for choice of investment, financial risk tolerance etc.

Pune city has been selected to define the geographical boundary of the current study. There are many reasons behind this selection. Those can be explained as follows.

Pune city represents the diverse population of India. Pune city is the educational hub. It is known as the oxford of the east. Many reputed educational institutes catering services throughout India and at international level are situated in Pune city. Hence professionals related to education are residing in Pune city. As well as current study conducted in Pune city will be helpful for the research scholars borstudying their business studies.

Pune city is surrounded by IT industries. It is also known as the IT hub of India. Major IT industries are situated in the industrial belt of Pune city. Hinjewadi, Pimpri Chinchwad, Talawade, Kharadi are some of the areas where many big giants in IT have established their offices. Therefore, it is the industry that provides lakhs of employment opportunities for engineers and tech-savvy graduates. Therefore, looking towards the employment strata in this field, it can be depicted that highly educated and experts having high income are situated in Pune city

Pune city is also known as the largest manufacturing hub and automobile hub of India. Chakan, Mahalunge, Pimpri-Chinchwad and Bhosari are the manufacturing and automobile hubs situated in Pune city. This industry caters the employment opportunity to a mixed crowd like highly educated, skilled, and unskilled workers too. It can be observed that due to manufacturing industries, there is a rise in income level of middle-class families residing in Pune city.

Overall Pune city has the perfect combination of representatives that can give justice to the study as it will truly represent all the segments of investors. Therefore, Pune city has been chosen for the current study.

1.10 Scope of the study

Research study consists of two types of scope as follows.

1. Geographic Scope

2. Functional Scope

Both are having their own importance. An attempt has been made to balance scope by giving equal importance to it.

1. Geographical Scope: - Current study is consistent with Pune City only. Therefore, respondents falling under this geographical area will be considered as a sample. Pune city is a blend of different industries and professionals. Therefore, samples will be selected that can truly represent their strata.

2. Functional Scope: - Functional scope of the current research consists of different concepts related with the topic of the research. It deals with understanding the following things.

- a) Risk tolerance in financial investment
- b) Financial Investment avenues
- c) Choice and preferences of financial investment
- d) Financial literacy of the investor's
- e) Effect of demographic factors on selection of financial investment instruments etc.

A Detailed literature review conducted on above mentioned points and hypothesis are developed accordingly. Questionnaire constructed on the basis of the above-mentioned points and hypothesis and inferences are drawn.

1.10 Limitations of the study

The research study consisted of the following limitations.

- 1. Geographical Area:** - The study is limited to Pune city only.
- 2. Set of Factors of the study:** - Investment may consist of various investment avenues but for the better convenience of the study only 6 parameters were considered. Hence the results apply to only selected 6 Investment Avenue.
- 3.** The questionnaire consists entirely of closed-ended questions.

1.12 Objectives of the Study

An objective represents the aim of the study. Following are the objectives of the study.

1. To analyse the demographic factors of investors with their financial risk tolerance.
2. To understand financial literacy and confidence in investment among the investors.
3. To establish the relation between Financial Literacy and Risk Tolerance.
4. To study the association between the investor's confidence in financial investment and financial risk tolerance of investors.
5. To investigate the relationship between investors' choice of investment and level of financial literacy.

Explanation of Objectives: -

1. Investors invest their part of income with different objectives. As well as investors invest their income in different investment avenues. Hence it is an attempt that determines the investment preferences. Every investment avenue is associated with a certain risk. On that basis this research will analyse the risk tolerance of the investors while doing that investment.

2. Demographic factors like age, gender, income, occupation, marital status, and number of dependents are equally important to understand their effect on choice of investment instrument as well as investment decision and financial risk tolerance.
3. Financial literacy (awareness) is the key driver of financial investment. Therefore, study will analyse the association between financial literacy and investment confidence.
4. Financial literacy, investment confidence and financial risk tolerance are associated with each other. Hence current research will determine the effect of investors' confidence for financial investment and Financial Literacy on financial risk tolerance.
5. Investors have multiple choices for investment. As financial literacy increases, the confidence of investors improves. Therefore, it is important to understand the level of financial literacy and choice of investment among the investors.

1.13 Hypothesis of the study

Hypotheses are tentative solutions to a given problem. It is also known as prediction of the particular solution. It is an assumption backed by enough evidence. Hypothesis gives the direction to study, and it will let the researcher to focus on the objectives of the research.

For the current research study, the following hypothesis are formulated.

Hypothesis-I: -

H01: - "Investors' confidence is not associated positively with financial risk tolerance"

Ha1: - "Investors' confidence is associated positively with financial risk tolerance"

Illustration: - Confidence of investors and financial risk tolerance are the two important variables studied and tested through hypothesis. Association between financial risk tolerance and investors' confidence was tested by formulating the hypothesis.

Hypothesis-II: -

H02: - "There is no association between financial literacy and preferences of investment avenues among the customers."

Ha2: - "There is an association between financial literacy and preferences of investment avenues among the Investors."

Illustration: - Financial literacy of the investors was checked by asking various application questions and preferences for investment was studied with various investment avenues. Current hypothesis made an attempt to determine the effect of financial literacy on investment preferences.

Chapter 2

LITERATURE REVIEW

2.1 Literature Review

Literature review enables the researcher to discuss and analyse the literature published already in a particular subject area. Therefore, a literature review is not only a just summary of the different literature sources, but it is more than this and it depicts both summary and synthesis of the information.

Literature review is carried out from a broader area to a narrow area. It clears the doubts and answers the questions before a researcher understands the problem area in a particular research subject. Literature review provides the new thoughts from the old literature, and it enables the researcher to trace the intellectual progression of the subject area.

In the current research different sources of literature review are undertaken. Literature was collected from sources like books, journals, research papers, research magazines, websites, blogs etc. Here literature review was carried out based on major factors related to the research topic. Research topic is split into subtopics and accordingly extensive research was carried out. Progression of the literature review is as follows.

- 1) Literature Review on Investment Behaviour
- 2) Literature Review on Financial Literacy
- 3) Literature review on Risk Tolerance
- 4) Research papers on Investment Avenues- (Mutual Fund)
- 5) Research papers on Investment Avenue (Insurance)

Literature Review on Investment Behaviour

1) Jain Priyanka¹ and Tripathi L.K. (2019)¹² Current research paper analyses the investment behaviour of the investor. Researchers did the analytical study to determine the association between the variables like income, savings, and their investments. It was secondary data-based research where researchers have studied several research papers and inferences were drawn. Researchers showed that women investors are more disciplined in investments, but they found a conservative nature in investments. In terms of bank deposits or fixed deposit investment behaviour, it was observed from the study that interest rate does not affect women for bank investment decisions. Researcher explained that income and saving are closely associated, and it provides the route to investment decisions.

2) Govari Nair, Pravitha N R (2020)¹³ It was a study conducted for a specific target population. It was an attempt made by the researcher to study the investment behaviour and pattern in Kollam Corporation. Various investment options chosen by the investors were FD's, Insurance, Gold, Real estate and Post office savings. It was an explorative study conducted by collecting primary as well as secondary data. Study found that an investor in Kollam corporations thinks about up to moderate risk during investment and does not think about the higher risk in investment. Study also found that there is a lack of awareness of different investment avenues that the traditional avenues.

¹² Jain Priyanka¹ and Tripathi L.K. (2019) "Investment Behaviour: An Analytical Review", World Business 'n Economy Congress 2019, Advances In Management Vol. 12 (1)

¹³ Govari Nair, Pravitha N R (2020), "A Study on Investment Behaviour with Special Reference to Kollam Corporation.", GJRA - Global Journal For Research Analysis, Volume-4, Issue-8, August-2020 • ISSN No 2277 – 8160.

Researchers suggested that investors should invest in mutual funds also. Study concludes that the most safe and secure investment avenue chosen by the investors is fixed deposit. It was followed by the investment option gold as it is a lifelong valued asset. Study reveals that age group has the effect on choice of Investment Avenue as middle age investors were observed investing in real estate.

Study found that women were aware about the investment avenues available but were not in position to explain it in brief as they were having limited and surface information. Reading Financial newspapers and watching business news channels was observed with very less percentage in working women. Study also reveals that most of the working women are dependent on their husband's decision in investment and don't bother much about the financial investment.

6) Chandra Shekhar, Shailesh Kumar Jain (2018)¹⁴ It was an attempt made by the researchers to understand the financial investment behavior of the respondents with their preferences for investments. Researchers have classified the different investment avenues on the basis of their risk opportunities. Convenience sampling was used to collect the data. Respondent's investment preferences were studied with their age and gender. Result shows that the age group of 20 to 30 are more inclined towards mutual fund and equity market investments. Most of the respondents were observed doing long term investments. Study shows that self-initiative to get acquainted with different investment sources was the major source of information rather than financial, brokers and friends' advice. Risk tolerance of the respondents was observed moderate. Higher income group respondents were observed to be more risk takers and prefer equity shares to invest. Researchers have opined that inflation is the biggest challenge in front of investors.

7) Prof. Sumandiran Prithiviraj, Prof. Gokul G (2018)¹⁵ Current study analyses the perception and knowledge of the respondents towards the financial investments and different factors affecting individual investment behaviour and their risk tolerance. Limitation of the study was that observations were made on the basis of data collected from the respondents of a Coimbatore city. Study reveals the perception of the respondents that they invest in insurance for safety, savings in bank accounts for liquidity, Commodities for additional income, Gold and silver for capital appreciation and government securities for tax saving. In source of information the internet was observed as the most reliable in providing information for investment followed by print media-newspaper. Study reveals that males were having good investment behaviour. Males of the age group 31 to 35, urban residents, married and professionals were found with better investment behaviour than females.

¹⁴ Chandra Shekhar, Shailesh Kumar Jain (2018), "Indian Investor's Behavior on Various Investment Opportunities", IJRAR December 2018, Volume 5, Issue 4, E-ISSN 2348-1269.

¹⁵ Prof. Sumandiran Prithiviraj, Prof. Gokul G (2018), "Investment Behaviour of Individual Investors in Coimbatore City", International Journal of Engineering Research & Technology (IJERT) ISSN: 2278-0181.

Literature Review on Financial Literacy

9) Mustabsar Awais, M. Fahad Laber (2020)¹⁶ studied the impact of financial literacy on investment choices as well as intensity of financial risk. Researchers classified the intensity of risk into three categories. They were minimal, mediocre, and maximum. According to the result financial literacy provides valuable information that can be a significant clue also. This helps the decision maker to make the right decision. Researchers examined that the investment decision process will be easy if the investor gets acquainted in advance with all confounding variables. When financial literacy and investing experience comes together, automatically risk tolerance increases and investors will be able to make wise decisions. Researchers mentioned that financial risk considers the factors like inflation, confounding interest, diversification of risk.

10) Malgit Amos Akims, Ambrose Jagongo (2021)¹⁷ Current study explores the concept of financial literacy through three theories. They were decision theory, prospect, and mental accounting theory. Study makes inferences on the basis of these theories regarding financial literacy for investors. Researchers hypothesized that successful investment decisions depend on the level of financial literacy held by investors. From the literature review in the study, it can be understood that decision theory was related with perception and action of the investor. According to study it has been observed that prospect theory is also known as loss aversion theory. It deals with the respondent's responses to identical situations. This theory explains that investors become risk averse during gain and risk seeking at the time of loss. Mental accounting indicates the psychological aspects of investors. It deals with the concept that an individual holds an asset with some kind of predetermined frame in the mind. It deals with the mental account of the investor during gains as well as loss. Researchers studied financial literacy with three factors i.e., financial knowledge, gender, and age of the respondents.

Literature review on Risk Tolerance

16) Suzaida Bakar, Amelia Ng Chui Yi (2021)¹⁸ Study explores that traditional finance studies state that investors are rational in their investment decision making. But behavioral finance reveals that investors while investing do not behave as rationally as economists think. Study reveals that there are some psychological factors that affect the investors decision making while they invest their finance in the stock market. Study found that psychological factors differ gender wise. Researchers made a model explaining that investment decision making is dependent on the variables like overconfidence, conservatism, and herding and availability bias. Multiple regression models were used in the study. Result shows that there is a positive association between overconfidence and investor's decision making.

¹⁶ Mustabsar Awais, M. Fahad Laber (2020), "Impact of Financial Literacy and Investment Experience on Risk Tolerance and Investment Decisions: Empirical Evidence from Pakistan

¹⁷ Malgit Amos Akims, Ambrose Jagongo (2021), "financial literacy and its impact on investment decisions in Nigeria: a theoretical perspective", International Journal of Scientific Research and Innovative Technology ISSN: 2313-3759 Vol. 4 No. 11; November 2021

¹⁸ Suzaida Bakar, Amelia Ng Chui Yi (2021), "The Impact of Psychological Factors on Investors' Decision Making in Malaysian Stock Market: A Case of Klang Valley and Pahang", Procedia Economics and Finance 35 (2021) 319 – 328

17) M. Kannadhasan (2022)¹⁹ In this research paper researchers have used the term FRT i.e., financial risk tolerance with the combination of demographic factors like age, gender, occupation, income etc. Study classified the investors into financial risk tolerance and risk-taking behaviour. It was a cross-sectional survey. Demographic factors found important in differentiating the level of investors. According to study, understanding the investors financial risk behaviour would be helpful for service providers as well as policy makers. Researchers mentioned that financial risk tolerance increases vulnerability of investing in assets, especially risky assets. Researchers hypothesized that men are more risk tolerant than women and proved. Researchers also hypothesized that the level of risk tolerance decreases as investors age increases. Study explores that married people are less risk tolerant than married and higher the income higher the risk tolerance.

Research papers on Investment Avenues- (Mutual Fund)

24) Vinita Bharat Manek (2022)²⁰ Current research paper focuses on the performance of mutual funds in the Indian market. Study reveals that mutual funds account for less than 5% of India's GDP which is very less. Study consisted of diversifying growth-oriented equity funds. Result shows that portfolio turnover had a significant impact on a scheme returns. It implies that higher the portfolio then chances of outperforming would be higher. Researchers defined the term portfolio turnovers as a rate at which assets are traded by portfolio managers in a particular given period of time. Literature review in the study explores that the mutual funds that are having higher turnover and expenses generally carry low fund returns. Higher turnover determines the fund performance and fund performance is also a determinant of higher turnover. Study concludes that there is a correlation between scheme returns and index returns. Limitation of the study that it focused only on diversified and growth-oriented equity schemes, and it could be conducted with other types of schemes.

25) Arathy B, Aswathy A Nair, Anju (2019)²¹ Mutual funds open the gateway for the investors to invest their capital into the capital market with professional fund management. Study identifies the investors preferences for mutual funds and the factors that influence the investors to invest in mutual funds. Mutual funds are less risky compared to investment in the equity market. Mutual funds help the investors to make a diversified portfolio. Study reveals that factors like good return, price, tax benefits and less requirement of capital are the factors that influence them to invest in mutual funds. There were other factors that also found their influence on investment in mutual funds like less risk, liquidity, diversified portfolio and brand image. It was observed that retail customers take the advice of experts as well as ratings of CRISIL and ICRA also influence the investor's decision while choosing the right mutual fund. Study reveals that most of the investors get the information from sales representatives followed by internet, internet and newspaper. There were some factors that prevented the investors from investing in mutual funds. They were past bitter experiences, lack of confidence etc. In mutual funds, investors prefer the equity plan followed by income and balanced plan and others.

¹⁹M. Kannadhasan (2022), "Retail investors' financial risk tolerance and their risk-taking behaviour: The role of demographics as differentiating and classifying factors", IIMB Management Review (2022) 27, 175–184.

²⁰ Vinita Bharat Manek (2022), "mutual fund performance: a study on the effect of portfolio turnover on mutual fund performance in the Indian financial market.", ISSN: 2278-8808, SRJIS, MAR-APRIL 2016, VOL-3/23 www.srjis.com

²¹ Arathy B, Aswathy A Nair, Anju (2019), "A Study on Factors Affecting Investment on Mutual Funds and Its Preference of Retail Investors", International Journal of Scientific and Research Publications, Volume 5, Issue 8, August 2019 ISSN 2250-3153

Research papers on Investment Avenue (Insurance)

31) Nikita Kumari (2020)²² Insurance is one of the most preferred investment avenues in India especially by small investors. There are many reasons for these investments. Reasons like low investment cost, regular investment cum saving, fair return, risk cover, no risk in investment etc. Current research papers made an attempt to identify the determinants of insurance investment decisions.

It was a survey-based research and primary data has been collected through the survey. Study also kept an objective of understanding the impact of underwriting operations on life insurance investments. Various factors were taken into consideration, and it has been observed that hypothesis statements which were related to premium and insurance claim were tested and proved. It reveals that there are two significant factors that determine the investor's behavior of investment in life insurance.

32) B. Sumathisri (2020)²³ Researcher has mentioned in his study that insurance policies are the safeguards against all the bad happening and uncertainties in life. Study was conducted with the aim of identifying the extent at which insurance attracts the investors to invest. Result of the study revealed that it is not the income or education of the respondents that make him buy the insurance but it is the necessity and need of the investors that he wants to secure his future against the uncertainties in his life. Researchers also found that knowledge and skills are the determinants of investment in insurance. Both are required to evaluate the risk and return associated with the insurance policy. Researcher conducted a study on demographic factors of the respondents and assumptions were developed on the basis of study. Majority of the respondents have purchased only one policy and there were only 20% of the respondents who buy the more than two policies. In the current study investment motives of the investors were evaluated through safety, return and liquidity.

²² Nikita Kumari (2020), "Determinants of Insurance Investment: A case study of Life Insurance Corporation of India", ELK Asia Pacific Journal of Finance and Risk Management, ISSN (Print): 0976-7185; ISSN.

²³ B. Sumathisri (2020), "Investors' Preference towards Life Insurance Corporation of India", Asian Journal of Social Science Studies; Vol. 2, No. 3; 2020, ISSN 2424-8517

2.2 Research Gap

An extensive literature review was conducted on investment behaviour, Investment Avenue, Risk tolerance, financial literacy, Investment awareness like equity markets, real estate, Mutual funds, Fixed deposits, Insurance, and Gold. The literature review explores that though there is already a considerable amount of research study conducted on investment patterns and risk tolerance of the investors, still there is enough scope to conduct the study in detail with regards to investment choices, demography effect on risk tolerance, etc. Many of the researchers have done their research work by focusing on exclusive investment choices. But being an investor, one may invest simultaneously in different investment avenues according to his investment risk potential. Investors build their portfolios with diversified investment options. Therefore, such research is found very little where many investment choices are studied simultaneously. Even earlier researchers missed establishing the relationship between the demographic factor and risk tolerance, financial literacy and risk tolerance, investment confidence and investment preference, etc.

As well as described in an earlier paragraph there was no notable study conducted on the investors residing in Pune city. Therefore, this was a significant research gap observed after the literature review and hence it provides the foundation for conducting the current research work with the given title.

2.3 Research Problem Statement

The problem statement centres on the notion that several behavioural, socio demographic characteristics, and risk factors have been identified to impact an investor's financial decision. The purpose of this study is to see if behavioural choices caused due to factors such as financial literacy, investors' confidence in investment and other factors exist and how they affect financial risk tolerance. Indian investment firms are solely concerned with determining an investor's investment pattern, which is linked to various risk profiles, while ignoring the psychological side. The findings will give them a model that will allow them to gain a better understanding of investors' irrational behaviour and their psychological attitudes toward investment goals.

2.4 Research Questions

The purpose of this research is to find answers to the following questions:

1. What are the determinants of financial risk tolerance and how those determinants affect the financial risk tolerance of an investor?
2. How is financial literacy related to confidence in investment among the investors?
3. What is the impact of financial literacy on financial risk tolerance?
4. How investors' confidence in financial investment influences financial risk tolerance of investors.
5. How does the level of financial literacy have an effect on the investors' choice of investment?

Chapter 3

PROBLEM STATEMENT & RESEARCH HYPOTHESES

Objective-1: To study the association between the investor's confidence in financial investment and the financial risk tolerance of investors.

Hypothesis-I

H01: - “Investors’ confidence is not associated positively with financial risk tolerance”

Ha1: - “Investors’ confidence is associated positively with financial risk tolerance”

Test: - Linear Regression Variables: -

1) Investor’s Investment Confidence

2) Financial Risk Tolerance Data Analysis: - Hypothesis test consisted of two variables i.e., investor's confidence while investing and financial risk tolerance. The regression technique was used to analyse the relationship between a dependent variable (Confidence of investor in investing) and an independent variable (Risk tolerance in Investment).

Table No. 3.1: - Table showing the result of Standard Deviation Test for Hypothesis testing of Objective-1

Descriptive Statistics			
	Mean	Std. Deviation	N
Overall Risk Tolerance	3.65	1.115	491
My confidence in investment instrument while investing is	3.90	1.041	491

Mean value of both the variables is greater than 3.5 indicates that average investors have enough risk tolerance, and they are good enough confident during investing. Standard deviation values are also less than 2 and determine that there is less distance between observed values and mean value. Therefore, mean value truly represents the data.

Table No. 3.2: - Table showing the Model Summary for Hypothesis testing of Objective-1

Model Summary				
Model	R	R Square	Adjusted R Square	Std. Error of the Estimate
1	.518 ^a	.550	.537	1.047
a. Predictors: (Constant), My confidence in investment instrument while investing is				

Here R-value represents the simple correlation between dependent (Confidence of investor in investing) and independent (Risk tolerance in investment) variables. Here the value of R (0.518) which is greater than 0.4 hence taken for further analysis. This correlation indicates a positive correlation between the variables. The R² value i.e., 0.550 shows the variation of independent variables that could be explained by dependent variables. Here the R square value is greater than 0.5 which is good enough to determine the relationship between Variables.

Table No. 3.3: - Table showing the result of ANOVA Test for Hypothesis testing of Objective-1

Coefficients						
Model		Unstandardized Coefficients		Standardized Coefficients	t	Sig.
		B	Std. Error	Beta		
1	(Constant)	1.841	.184		10.022	.000
	My confidence in investment instrument while investing is	.463	.045	.418	10.174	.000
a. Dependent Variable: Overall Risk Tolerance						

Above coefficient table shows the magnitude of the independent variable which impacts the dependent variable. Here significance value is again found less than 0.05 that rejects the null hypothesis and accepts the alternative hypothesis i.e., “Investors’ confidence is associated positively with financial risk tolerance.”

Objective-2: To investigate the relationship between an investor's choice of investment and level of financial literacy.

Hypothesis-II

H02: - “There is no association between financial literacy and preferences of investment avenues among the customers.”

Ha2: - “There is an association between financial literacy and preferences of investment avenues among the customers.”

Test: - Chi-square Test Variables: -

- 1) Financial Literacy
- 2) Investment Preferences (Fixed Deposits, Gold, Insurance, Real Estate, Government Bonds, Mutual Funds, Equity and Commodity Market)

Table No. 3.4: - Table showing the Chi-square Test for Hypothesis testing of Objective-2

	Investment Preferences	Chi-square Value	Degree of Freedom	Asymp. Sig. (2-sided)
Financial Literacy	Rank 1: Fixed Return Investment	23.258a	24	0.002
	Rank 2: Gold	16.194a	24	0.007
	Rank 3: Insurance	6.554a	24	0.000
	Rank 4: Real Estate	14.930a	24	0.007
	Rank 5: Government Bond	18.211a	24	0.006
	Rank 6 : Mutual Fund	17.256a	24	0.005
	Rank 7: Equity & Commodity	13.586a	24	0.000

Interpretation: -

- Association among financial literacy and investors investment preferences were studied through hypothesis II. Hypothesis II was tested with the chi-square test. For this 95% of confidence level was set and 5% of significance level was considered. For understanding investment preferences there were 7 major investment choices. They were fixed deposits, gold, insurance, Real estate, government bonds, mutual funds and equity and commodity markets.
- Test was run in SPSS software and results between financial literacy and each rank were studied. From the above data it is found that the degree of freedom of each one is 24 and the p-value of each one is observed as below 0.05. Hence the current p-value result does not support the null hypothesis. Therefore, alternative hypothesis i.e. “There is an association between financial literacy and preferences of investment avenues among the customers.” is accepted.
- Financial literacy of the respondents helped investors to choose their investment avenue. As there were 7 investment options, each respondent on the basis of their financial literacy and potential of investment instruments were given the preferences.

Chapter 4

RESEARCH METHODOLOGY

4.1 Introduction

Research methodology is a way to systematically solve the research problem. It is a science of studying how research is done systematically. It has various logically adopted steps.

“Research is an original contribution to the existing stock of knowledge making for its development” “The systematic approach concerning generalisations and formulation of a theory is also research”.

The present study deals with the topic i.e. “An Empirical Study on Financial Risk Tolerance of Selected Individual Investors and its impact on their Investment Decisions in Pune District”

4.2 Research Design

Research design is known as the blueprint of the research study undertaken. It is the systematic plan of the current research. The research design refers to the overall strategy that you choose to integrate the different components of the study in a coherent and logical way, thereby ensuring you will effectively address the research problem; it constitutes the blueprint for the collection, measurement, and analysis of data.

Research design chosen for the study is a Descriptive study. This study is a survey-based study. Primary data collected from structured questionnaire through field survey. Structured questionnaire developed to collect the primary data. Questionnaire is developed keeping the view of general individuals who do the investments for gaining good enough financial gain in future. The Pilot Survey was conducted on 50 respondents and had an income of 5 lakhs and above. According to need, changes have been done in both the questionnaires.

The study is also dependent on secondary data, which is collected from different sources like company websites, research reports, research papers, research thesis, books, journal, and magazines.

1. Type of Research Research

comprises different types of research. Classification of the research can be done on various bases like nature of study, objectives of the research etc. Basically, research can be of three types’ i.e., explorative research, descriptive research, and experimental research.

In this research work, the Descriptive method was used as the nature of study. The researcher has used descriptive research design. Objective of the research is to understand and describe the characteristics of the respondents investing in various avenues of financial investment.

The data has been collected by the researcher by conducting structured interviews by filling up the structured questionnaires from the individual investors who invest in different investment avenues residing in Pune district.

The research work consists of careful collection of data, observation, and classification of data and careful interpretation of collected data. The research work will be consisted of following six steps

- Defining the research problem
- Conducting literature review
- Data Collection
- Evaluation, analysis, and interpretation of collected data
- Preparation of final report

2. Sampling Design: -

Current research study is based on sample study. Population is the total number of the respondents that come under the study. It is the total number of potential investors who invest in various avenues of investment. As the population of the study is indefinite hence to conduct the study a definite number of 3 samples are selected. Here samples are the part of the whole population and truly represents the total population. Details of sample design are mentioned below.

a) Geographical Area of Research: -

The researcher has considered the financial investors residing in Pune city.

b) Population: -

Population was found based on 5 broad categories (mentioned in below table) which consists of selected **7 investment avenues**. Capital markets consist of Mutual funds, Equity and Commodity and Governments Bonds.

Table no 4.1: - Table showing calculation of Target Population

Sr. No.	Investment Categories	Population	Sources
1	Capital Markets	551000	Pib.gov.in, NSDL, SEBI
2	Real Estate	50000	Data Labs, Prop Tiger Research
3	Gold	1500000	World Gold Council, statista.com
4	Insurance	300000	IRDA, RBI
5	Bank Fixed deposit	500000	RBI bulletin
Total Population		2901000	

From the above table, number of investors (**population**) investing in at least one financial avenues out of seven financial avenues (i.e., Mutual funds, Equity and Commodity, Government Bonds, Real Estate, Insurance, Bank Fixed Deposit and Gold.) is approximately more than **29 lakhs**.

c) Population Universe: - Individual Investors

d) Sampling Technique: -

For the current study **Judgmental sampling and Snowball sampling techniques** are used which are non-probability sampling techniques. By considering time limit and unknown population, Judgmental and Snowball sampling techniques was utilized.

e) Sample Size: -

It is the total number of samples considered for the study. Samples were from different localities in Pune and PCMC area. Pune and Pimpri Chinchwad city comprise different industries. Pune city is the educational hub of India whereas Pimpri Chinchwad is the manufacturing and IT hub. People of different profiles, professions and education stay in these cities. Hence while approaching the samples, focus was on the various professionals working in Pune and Pimpri Chinchwad city.

Krejcie and Morgan formula to calculate Sample size for unknown Population:

$$n = Z^2 * (p) * (1 - p) / c^2$$

where:

Z = Z value (e.g., 1.96 for 95% confidence level)

P = population proportion (percentage picking a choice, expressed as decimal) = 0.5

c = margin of error (confidence interval) of +/- 5%.

n = sample size.

Replacing all the values in the formula we get following result,

$$n = ((1.96)^2 * (0.5) * (0.5)) / (0.05)^2$$

$$= (.9604 / .0025)$$

= 384.16 Thus, the sample size for the above case is **384**

Table no 4.2: - Table showing Krejcie and Morgan table

<i>N</i>	<i>S</i>	<i>N</i>	<i>S</i>	<i>N</i>	<i>S</i>
10	10	220	140	1200	291
15	14	230	144	1300	297
20	19	240	148	1400	302
25	24	250	152	1500	306
30	28	260	155	1600	310
35	32	270	159	1700	313
40	36	280	162	1800	317
45	40	290	165	1900	320
50	44	300	169	2000	322
55	48	320	175	2200	327
60	52	340	181	2400	331
65	56	360	186	2600	335
70	59	380	191	2800	338
75	63	400	196	3000	341
80	66	420	201	3500	346
85	70	440	205	4000	351
90	73	460	210	4500	354
95	76	480	214	5000	357
100	80	500	217	6000	361
110	86	550	226	7000	364
120	92	600	234	8000	367
130	97	650	242	9000	368
140	103	700	248	10000	370
150	108	750	254	15000	375
160	113	800	260	20000	377
170	118	850	265	30000	379
180	123	900	269	40000	380
190	127	950	274	50000	381
200	132	1000	278	75000	382
210	136	1100	285	100000	384

Note.—*N* is population size. *S* is sample size.

Source: Krejcie & Morgan, 1970

As the number of investors is indefinite and data is not available with exact figures, therefore **Krejcie and Morgan** table (table no 4.2) for sample size was taken as a reference. According to this table, if the population is more than **10 lakhs** then to get more accuracy in the result, at least 384 respondents should be approached. Details are given below.

As the population is more than **29 lakhs** as mentioned above, from Krejcie and Morgan table and formula of sample size calculation we can conclude that, with 95% of confidence level expected sample size should be at least **384**. Actual sample size for the current study was **491**, samples were from different localities in Pune and PCMC area.

Table no. 4.3: - Table showing calculation of Target Respondents

Actual Questionnaire distributed through Google form (Target Respondent)	Complete responses Received (Actual Responded)
500	491

2. Data collection Tools

The data collections tools used here by the researcher are Primary data and Secondary Data.

Primary data is collected from field visits. It is done by meeting the individual investors residing in Pune district having the annual income more than 5 lakhs.

Primary Data: -

Primary data is the data collected from the field. This is fresh data collected during the first visit from the respective respondents. A structured questionnaire will be prepared, and the feedback will be collected from the respondents. Due care will be taken during the filling of these questionnaires from the respondents. Method for primary data collection.

• Survey Method

A survey conducted to collect the primary data from the respondents. Research instrument for the study was a structured questionnaire.

Questionnaire: Researcher has used a structured questionnaire for retail investors investing in various financial investment avenues. It consisted of demographic questions and functional questions related to the topic. Functional questions were based on risk tolerance, financial literacy, and confidence in investment. An attempt has been made to use various scaling techniques for measuring the responses of the investors. Questionnaire contains the five Likert scale questions to reach the in-depth response of investors.

Secondary Data: -

The secondary data is the data that has already been collected and analysed by someone else. The researcher has used this secondary data as a tool for conducting literature review for the research. Review of research papers on investment avenues and risk tolerance of investors, reviews of books, magazines, the journal of National stock exchange, Reports on gold investment and real estate, media reports. Researchers have also used websites, official records and various publications related to individual investment and risk tolerance.

3. Data Analysis Techniques: -

In order to understand the potential of investment avenues and risk-taking ability of the investor's, the percentage, mean, charts, graphs, frequency distribution, correlation, chi-square test, and factor analysis were the tools used for data analysis.

Descriptive statistics will be used initially to understand their responses. Factor analysis will be used to identify important factors impacting on selection of avenues of investment.

Chi square test and correlation will be used to test the hypothesis. All these steps are applied by using statistical software SPSS. At the same time Microsoft Excel will be used to make graphs and tables.

4.3 Research Variables

Variables are the factors or characteristics which have quantity or quality and that varies. There are two types of variables considered in the study. They were dependent and independent variables. Dependable variables were the variables where study was being conducted to test.

Hypothesis and objectives were formulated considering these two types of variables. An attempt has been made to understand the association between these two types of variables.

Following were the variables considered for the study.

Dependent Variables:

- Financial risk tolerance of Investors
- Financial literacy of Investors
- Investor's Confidence in Financial Investment Independent Variables:
- Demographic Factors
- Different Investment Avenues

4.4 Pilot Study

Pilot experiment is a small-scale preliminary study conducted in order to evaluate feasibility, time, cost, adverse events, and improve upon the study design prior to performance of a full-scale research project.⁷²

Pilot study was conducted in the primary stage of the study. A Structured questionnaire was developed containing multiple choice questions. To check the reliability, feasibility of the questionnaire, a pilot study was conducted.

Convenience of the respondents, difficulties in giving responses, multiple options in the questionnaire which enables gaining in depth response of the respondents were taken into consideration during pilot study.

50 respondents in Pune city with varied demographic profiles were taken into pilot study. Questionnaire is to be modified according to responses taken during pilot study. These modifications will be done with consultation of a guide.

Reliability test value for customer questionnaire was 0.787 which is found significant to conduct the survey. Analysis of pilot study was done and to be presented towards a guide to get more insights for next steps in research and get guidance for systematic study of the project.

4.5 Reliability Test

One technique to assess and evaluate the quality of the measurement procedure employed in data collection is to conduct a questionnaire reliability test. The measurement approach applied in the research questionnaire should be reliable in order to verify the result as valid. As a result, a questionnaire's reliability test ensures that the constructs described in the questionnaire are accurately represented. It establishes internal consistency and determines the scale's reliability.

⁷²James Chen, "Investment", <https://www.investopedia.com/terms/i/investment.asp>.

For Customer Questionnaire

Scale: - All Variables

Table No. 4.4: - Table showing Case Processing Summary

Case Processing Summary			
		N	%
Cases	Valid	50	100.0
	Excluded	0	0.0
	Total	50	100.0

Table No. 4.5: - Table showing Reliability Statistics

Reliability Statistics	
Cronbach's Alpha	N of Items
0.787	50

The questionnaire's reliability was tested using SPSS using the Chronbach Alpha test. It included all the variables listed in the questionnaire. With a value of 0.787, the Chronbach alpha was discovered. If the alpha value is greater than 0.70, it means that the responses of the respondents are more consistent internally. As a result, the current result is significant and has a higher internal consistency.

Chapter 5

DATA ANALYSIS AND INTERPRETATION

The current chapter concentrates on data analysis and interpretation. A structured questionnaire method was used to collect data, which was then tabulated in Microsoft Excel. Data has been entered into SPSS for further analysis. To achieve the study's goal, objectives and hypotheses were developed. As a result, appropriate statistical approaches were employed to attain the goals and test the hypothesis.

Data analysis is done in three parts.

1. Descriptive analysis (Demographic Factors)
2. Descriptive analysis (Functional Questions in questionnaire)

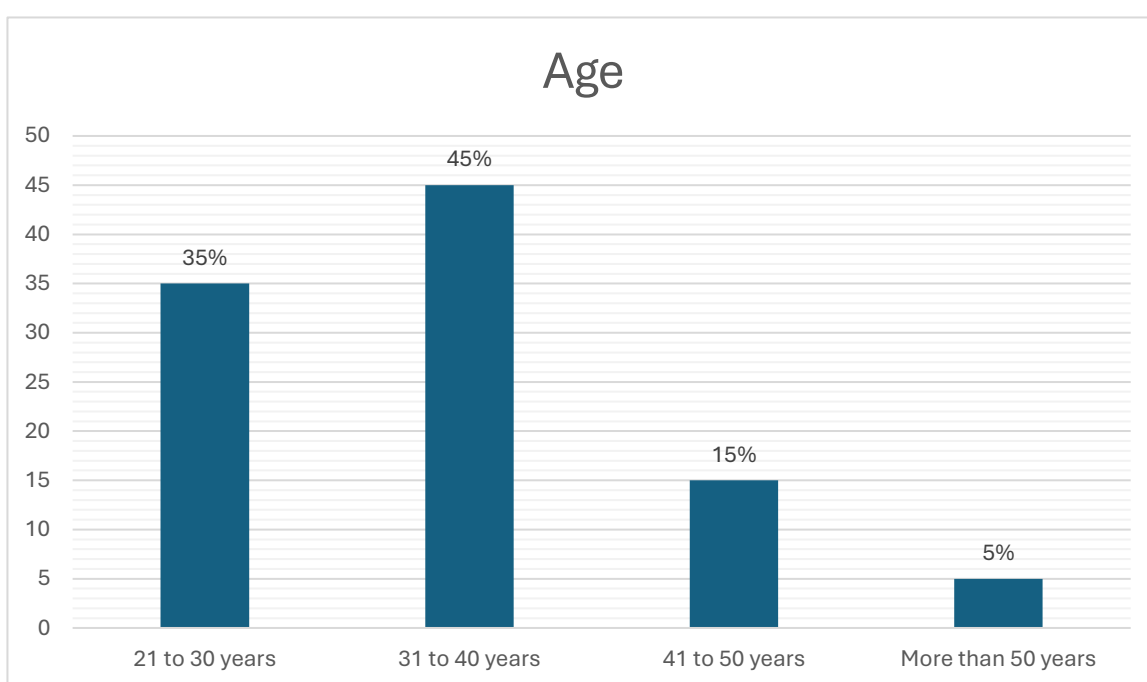
Frequency distribution, table, and graph formulation, mean and cross table identification are all used in descriptive analysis. The chi-square test, standard deviation, and t-test will be used for hypothesis testing.

Part I: - Descriptive data analysis [Demographic Factors]

Table No. 5.1: Age of the respondents

Age	Frequency	Percent
21 to 30 years	174	35%
31 to 40 years	219	45%
41 to 50 years	73	15%
More than 50 years	25	5%
Total	491	100%

Graph No. 5.1: - Age of the respondents

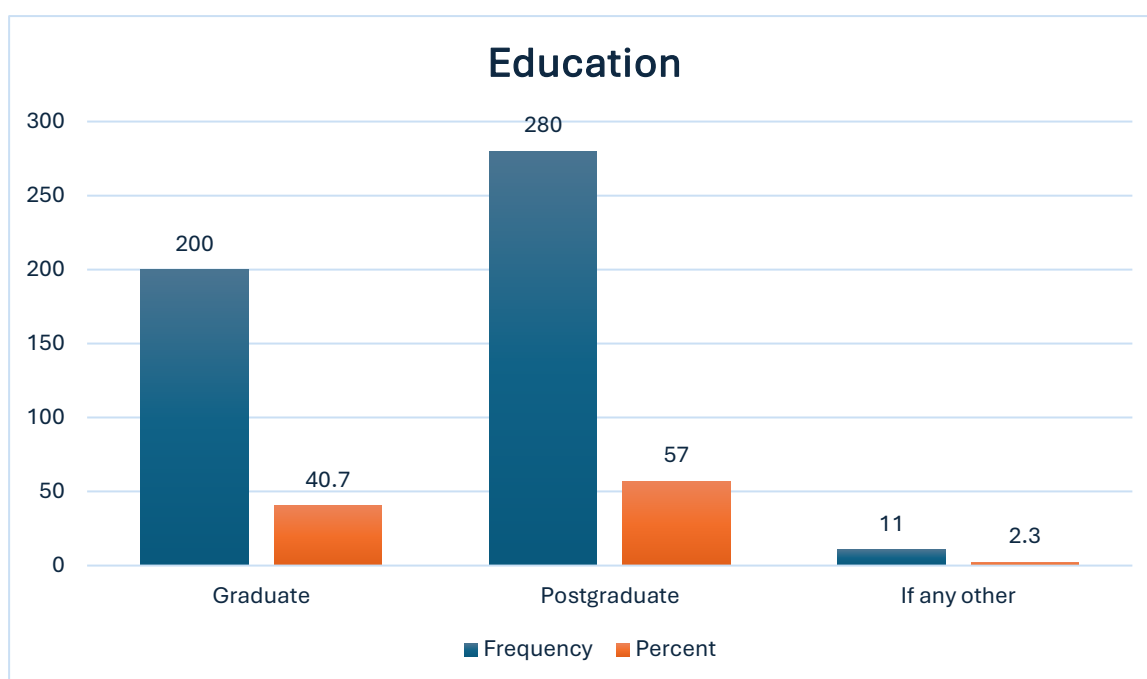


Interpretation: -

5% More than 50 years Age is the important demographic factor in investment decisions and choice of investment. From the table it has been observed that the mean value of the frequency distribution is 2 reflects that the majority of the respondents were from the age group of 31 to 40 years. Data shows that 45% of the respondents belong to the age group of 31 to 40 years followed by the age group of 21 to 30 years (35%) and 41 to 50 yrs (15%). Very less percentage of age group more than 50 years (5%) inferred that higher the age group lower the investment decision.

Table No. 5.2: - Education of the respondents

Education		
	Frequency	Percent
Graduate	200	40.7%
Postgraduate	280	57%
If any other	11	2.3%
Total	491	100%



Graph No. 5.2: - Education of the respondents

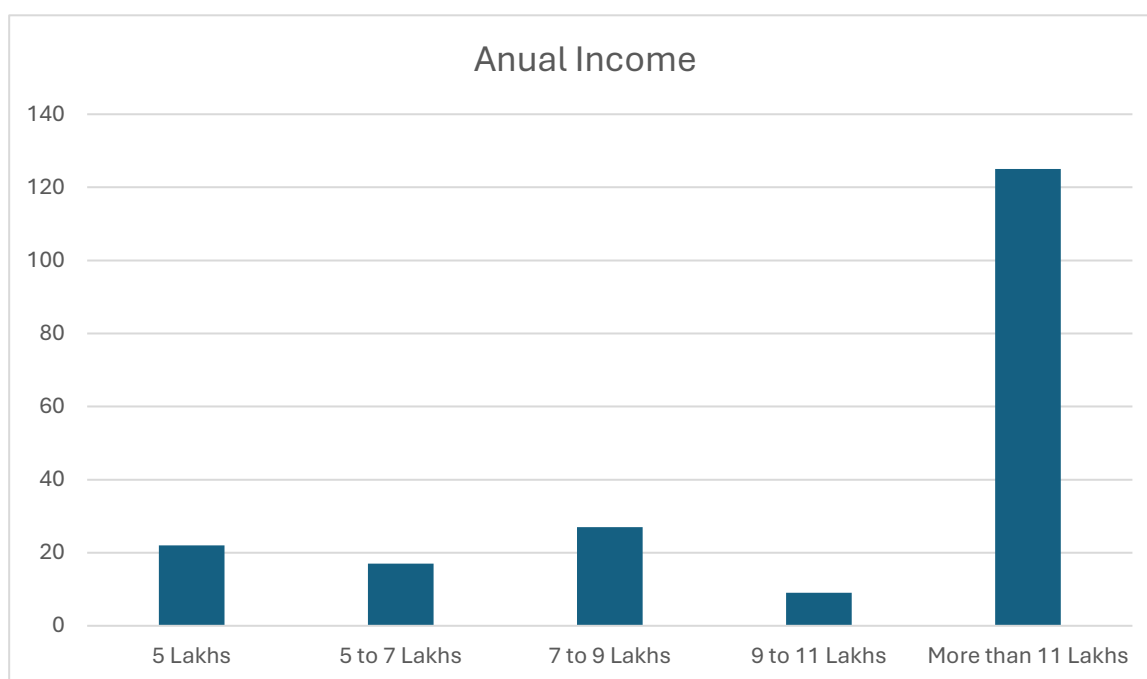
Interpretation: -

Respondents were asked their educational qualifications. From the graph and tables, it has been observed that 40.7% of the respondents (investors) are Graduates. 57% of the respondents are Postgraduates while 2.3% (11 investors) fall below graduates. From the data it can be concluded that, more than married respondents invest more for future benefits.

Table No. 5.3: - Annual Income of the Respondents

Annual Income	Frequency	Percent
5 Lakhs	106	22%
5 to 7 Lakhs	134	27%
7 to 9 Lakhs	84	17%
9 to 11 Lakhs	42	9%
More than 11 Lakhs	125	25%
Total	491	100%

Graph No. 5.3: - Annual Income of the Respondents



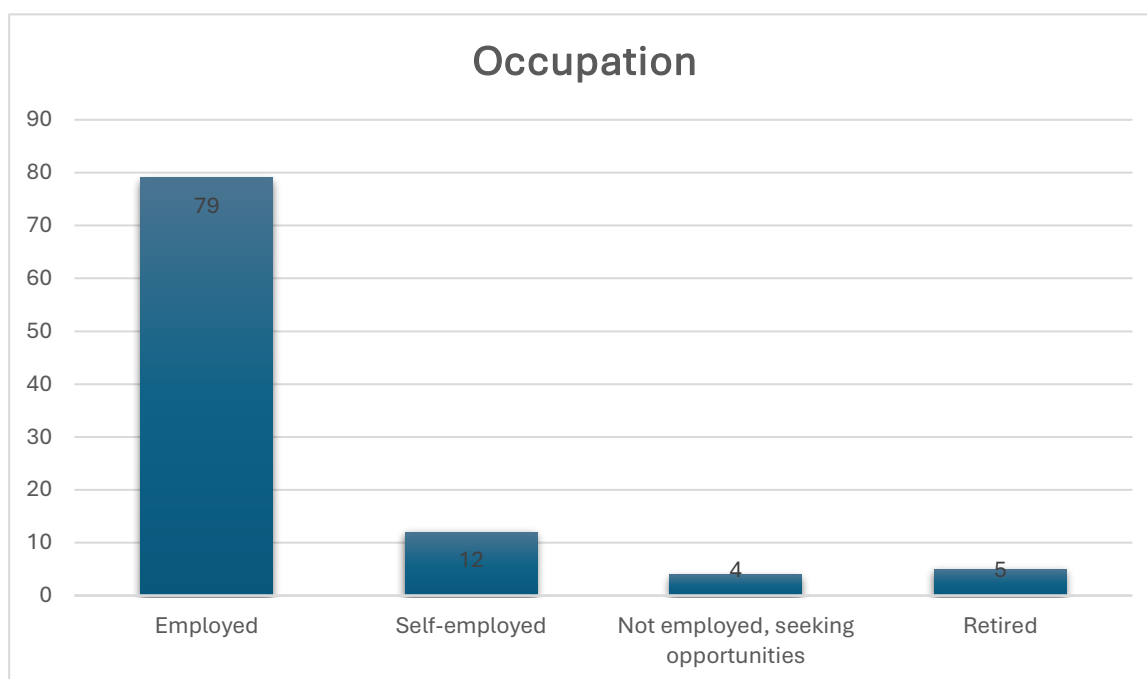
Interpretation: -

Income of the investors carry lots of importance in investment behaviour. Frequency table shows the majority of the respondents belong to the income group of 5 to 7 lakhs with 27% of the respondents. It is followed by More than 11 lakhs (25%), up to 5 lakhs (22%), 7 to 9 Lakhs (17%) and 9 to 11 lakhs (9%). Data reflects that investment in various avenues are done by upper middle class and upper-class respondents more.

Table No. 5.4: - Occupation of the Respondents

Occupation	Frequency	Percent
Employed	390	79%
Self-employed	60	12%
Not employed, seeking opportunities	20	4%
Retired	21	5%
Total	491	100%

Graph No. 5.4: - Occupation of the Respondents



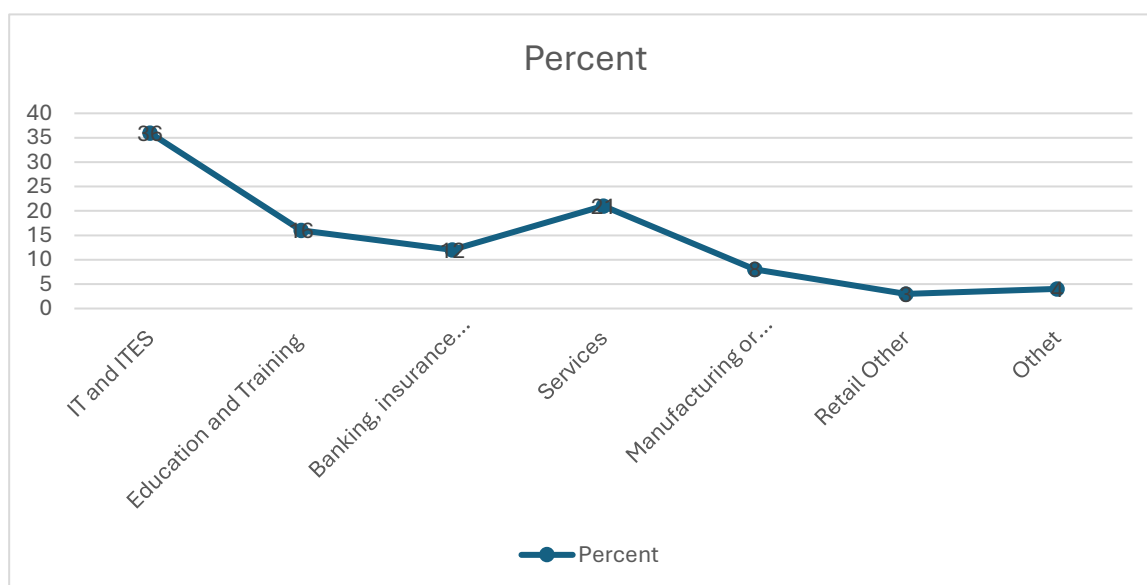
Interpretation: -

Occupation of the respondents was studied, and results reflect that investors belong to varied occupations. Majority of the investor's occupation was employed respondents (80%), followed by businessman or self-employed (12%), and retired employees (4%). There were 4% of the respondents who were not employed anywhere or were seeking for opportunities.

Table No. 5.5: - Sector of the Respondents

Sector	Frequency	Percent
IT and ITES	78	36%
Education and Training	80	16%
Banking, insurance and NBFC	60	12%
Services	101	21%
Manufacturing or Automobile	40	8%
Retail	16	3%
Other	16	4%
Total	491	100%

Graph No. 5.5: - Sector of the Respondents



Interpretation: -

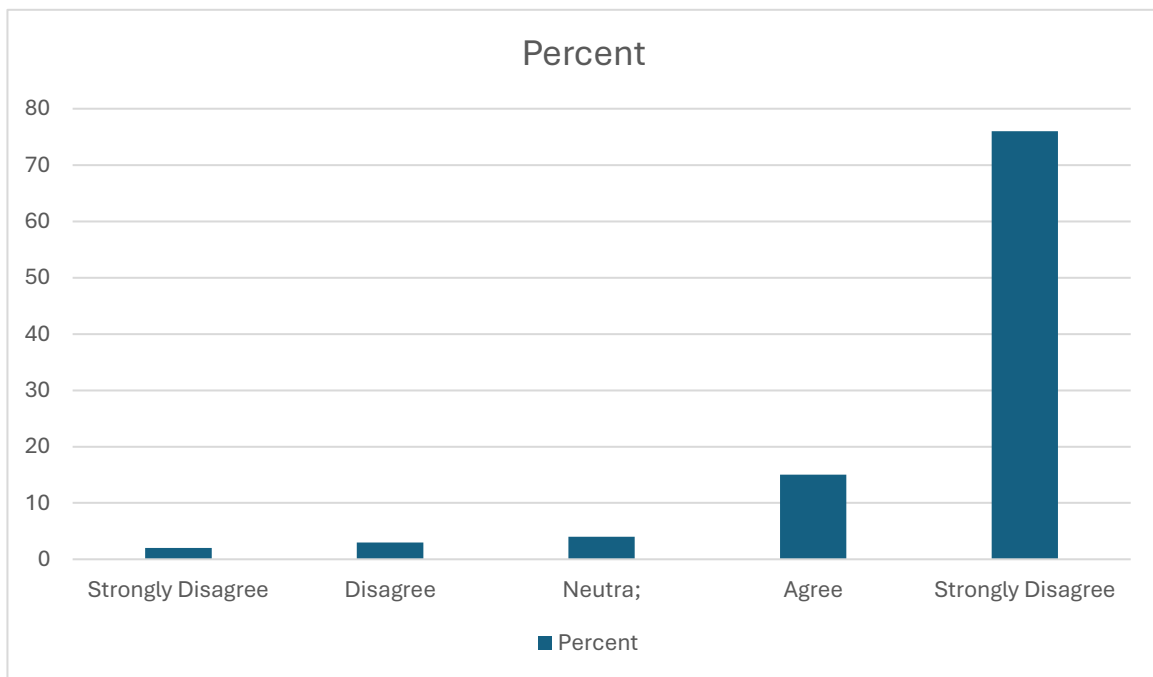
Respondents were observed with various sectors. Total 7 sectors were observed that respondents were belonging. Current study was conducted in Pune city which is an IT and Manufacturing hub and hence majority of the respondents belonged to IT and ITES sector (36%), followed by Service sector (21%), Education and training (16%), Banking, insurance and NBFCs (12%). 8% respondents were observed from manufacturing and automobile and 3% were from retail. There were 4% of the respondents who belong to other sectors.

Part II: - Investment Behaviour / Profile

Table No. 5.6: - Regular investment is a good habit

Sr. No.	Likert Scale	Frequency	Percent	Mean Value
1	Strongly Disagree	8	2%	4.6
2	Disagree	16	3%	
3	Neutral	20	4%	
4	Agree	76	15%	
5	Strongly Agree	371	76%	
	Total	491	100%	

Graph No. 5.6: - Regular investment is a good habit



Interpretation: -

Wise investment always gives good returns. Therefore, respondents were opined on consistent investment. Mean value 4.6 depicts that almost 90% of the respondents were in favour of regular investment and expressed that it is a good habit. 76% of the respondents replied that yes, it is a good habit, 15% agreed to the statement. 4% were found neutral, 3% were disagreeing and 2% respondents were strongly disagreeing with the statement.

Table No. 5.7 : - Investor's Investment Preferences

Investment Preferences	Percentage of Investment Preferences							Average Preferences	Preferences
	Rank 1	Rank 2	Rank 3	Rank 4	Rank 5	Rank 6	Rank 7		
Gold	21%	20%	17%	16%	24%	24%	7%	18%	2
Insurance	13%	22%	16%	25%	13%	12%	13%	16%	3
Fixed Return Investment	25%	19%	30%	20%	22%	18%	17%	22%	1
Real Estate	15%	15%	13%	15%	13%	9%	15%	14%	4
Mutual Funds	21%	11%	9%	10%	8%	7%	8%	11%	6
Government Bonds	3%	6%	10%	9%	15%	25%	18%	12%	5
Equity & Commodity	2%	7%	5%	5%	5%	5%	22%	7%	7
Total	100%	100%	100%	100%	100%	100%	100%	100%	

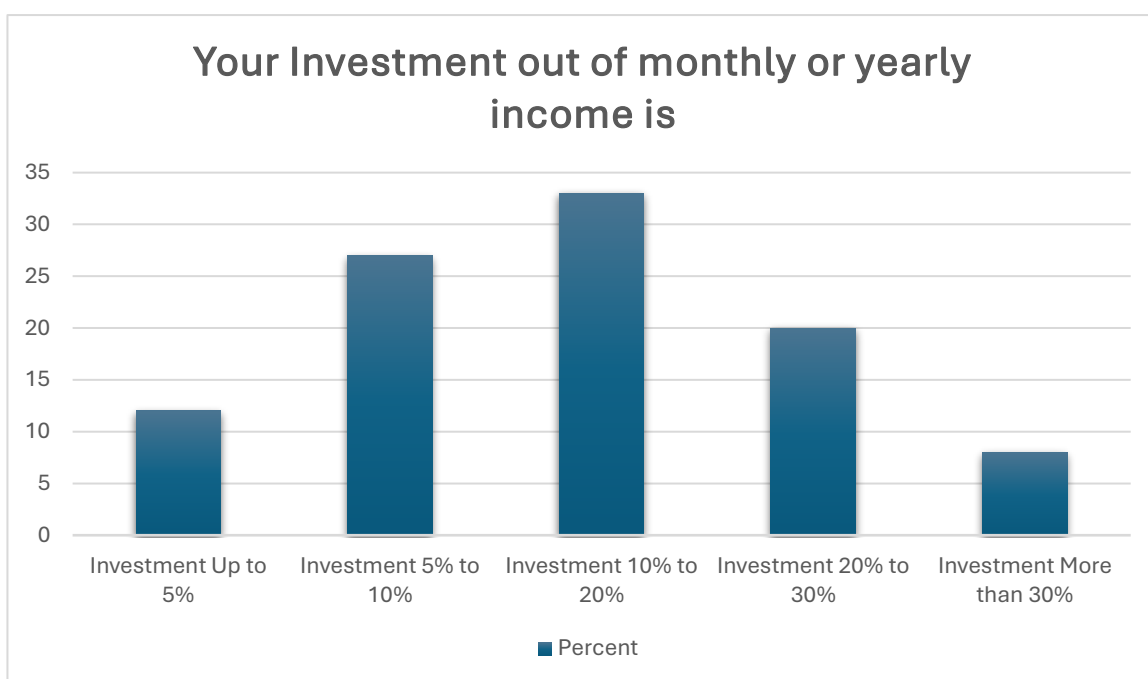
Interpretation: -

Respondents were asked about their investment preferences by providing 7 different investment options. From the table it has been observed that Fixed return investment got the highest average preference (22%), followed by Gold (18%) and Insurance (16%). Fourth preferences were given to Real estate (14%), followed by fifth preference of investment as Government bond (12%). Sixth preference was given by respondents to Mutual funds (11%) and least preference was found for equity and commodity (7%) investment.

Table No. 5.8 : - Investment out of monthly or yearly Income

Investment in %	Frequency	Percent
Investment Up to 5%	58	12%
Investment 5% to 10%	134	27%
Investment 10% to 20%	162	33%
Investment 20% to 30%	97	20%
Investment More than 30%	40	8%
Total	491	100%

Graph No. 5.7: - Investment out of monthly or yearly Income



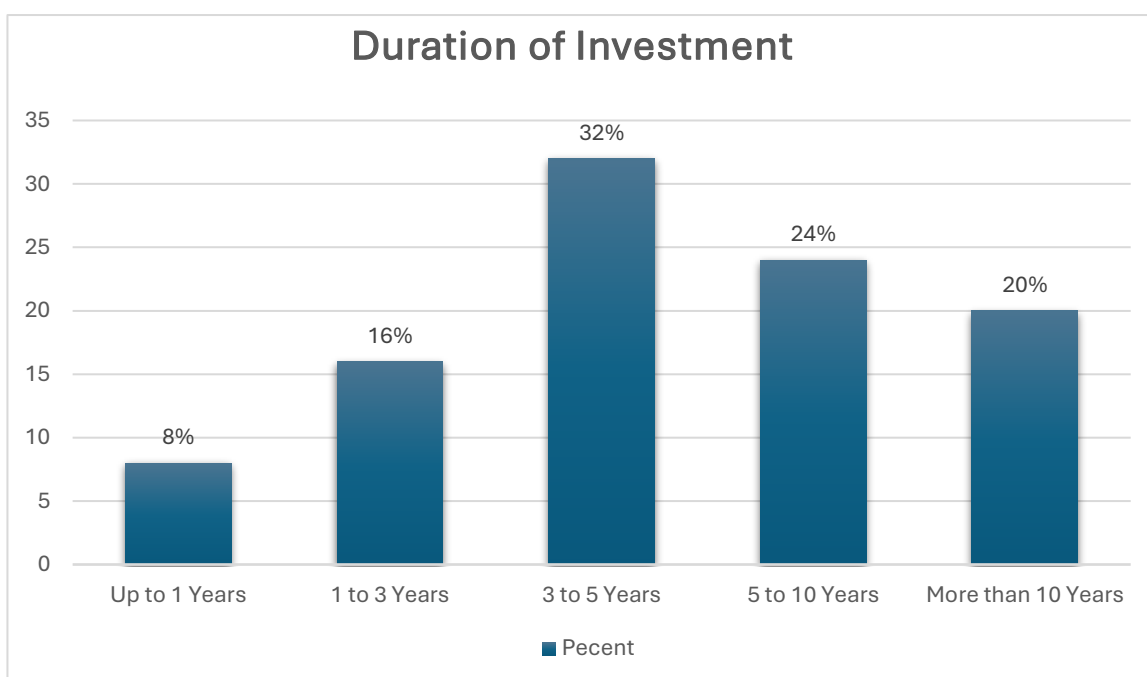
Interpretation: -

Investment is a good habit, but the amounts of investment vary with investor type. From the above graph it has been observed that 33% of the respondents expressed that they invest 33% of the total income in various avenues of the investment. It was followed by 27% of the respondents who invest 5% to 10% of the income, 20% of the respondents invest 20% to 30% of their total income, 12% of the respondents invest up to 5% and there were 8% of the respondents who invest more than 30% of the income.

Table No. 5.9: - Duration of Investment

Duration	Frequency	Percent	Mean
1) Up to 1 Years	41	8%	3.21
2) 1 to 3 Year	77	16%	
3) 3 to 5 Year	159	32%	
4) 5 to 10 Years	118	24%	
5) More than 10 Years	96	20%	
Total	491	100%	

Graph No. 5.8: - Duration of Investment



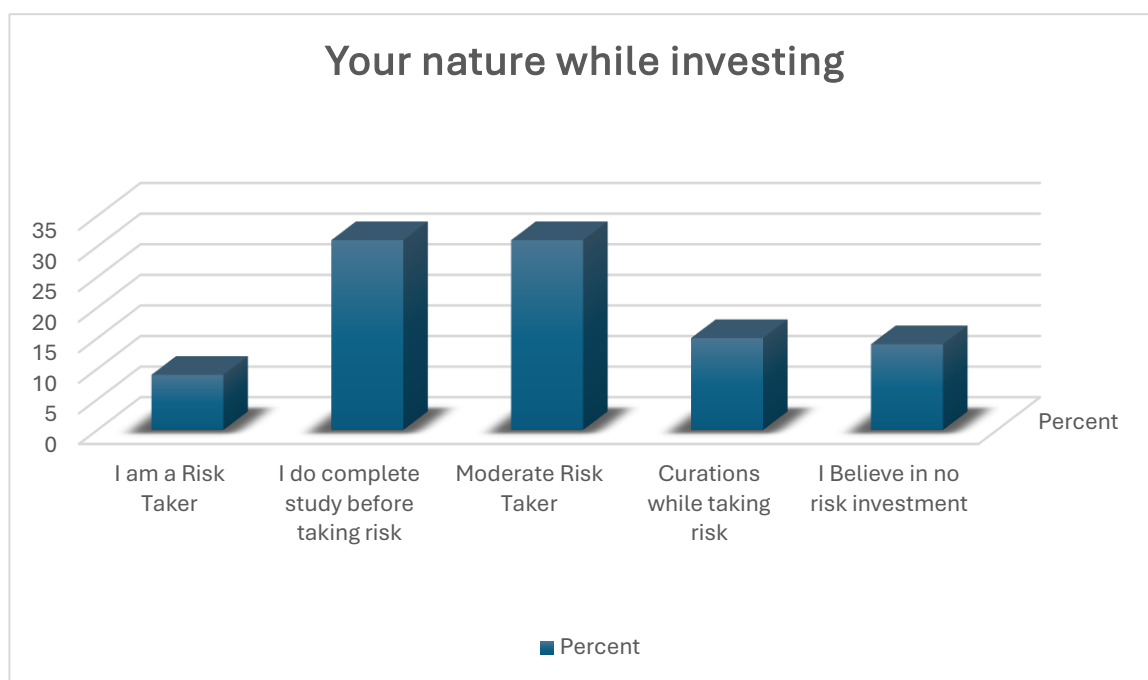
Interpretation: -

From the above table it has been observed that investors invest their income for different duration of time. Mean value is 3.31 representing moderate duration of investment from 3 to 5 years. 32% of the respondents invest their money for 3 to 5 years, followed by long term investment options of 5 to 10 years by 24% and more than 10 years by 20% of the respondents. Short term investment was preferred by 16% of the respondents for 1 to 3 years and 8% of the respondents for a very short term of investment for less than 1 year.

Table No. 5.10:- Risk nature while Investing

Risk nature	Frequency	Percent	Mean
I am a Risk Taker	44	9%	3.31
I do complete study before taking risk	150	31%	
Moderate Risk Taker	154	31%	
Curations while taking risk	73	15%	
I Believe in no risk investment	70	14%	
Total	491	100%	

Chart No. 5.9: - Risk nature while Investing



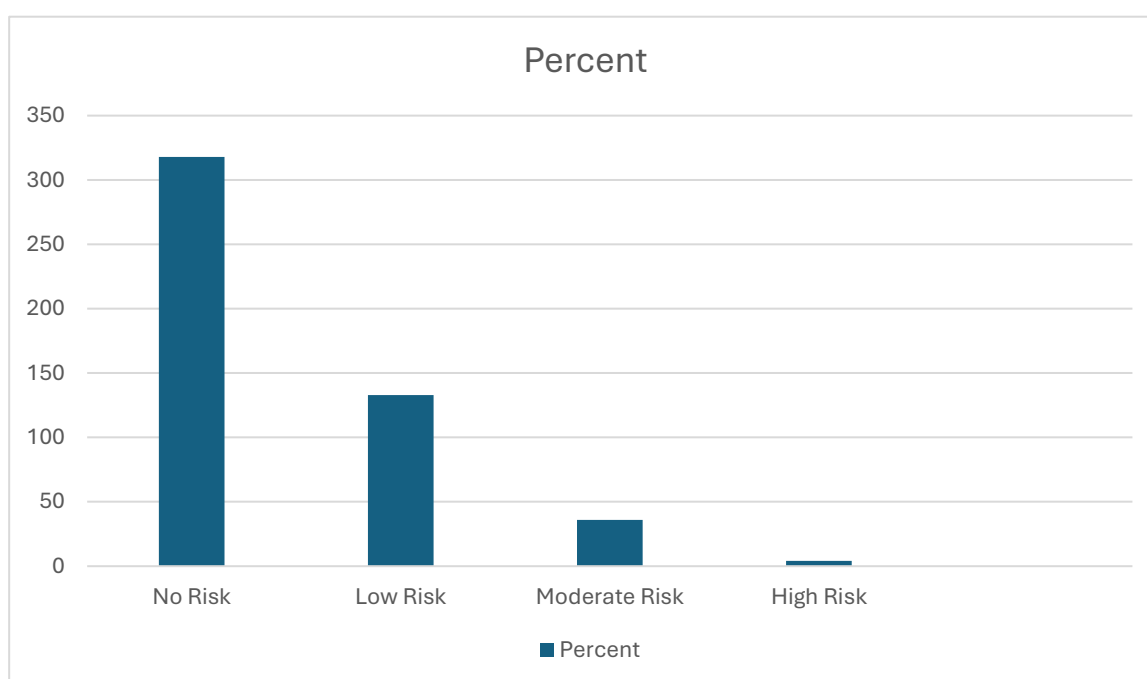
Interpretation: -

Investment is associated with risk. Nature of investors during investment is studied through surveys. Risk taking nature was classified from high-risk taker to safe investor. Mean value 3.31 depicts that the majority of the respondents are moderate risk taker (31%). Same time there were an equal number of respondents i.e., 31% expressed that they take the studied risk. There were 15% of the respondents who are cautious risk-taking nature investors, 14% were investors who take no risk, and there were 9% of the respondents who are aggressive and are of aggressive risk-taking nature.

Table No. 5.11: - Investor perception towards Fixed Deposit.

Risk perception	Frequency	Percent	Mean
1) No Risk	318	65%	1.44
2) Low Risk	133	27%	
3) Moderate Risk	36	7%	
4) High Risk	4	1%	
Total	491	100%	

Chart No. 5.10: - Investor perception towards Fixed Deposit.



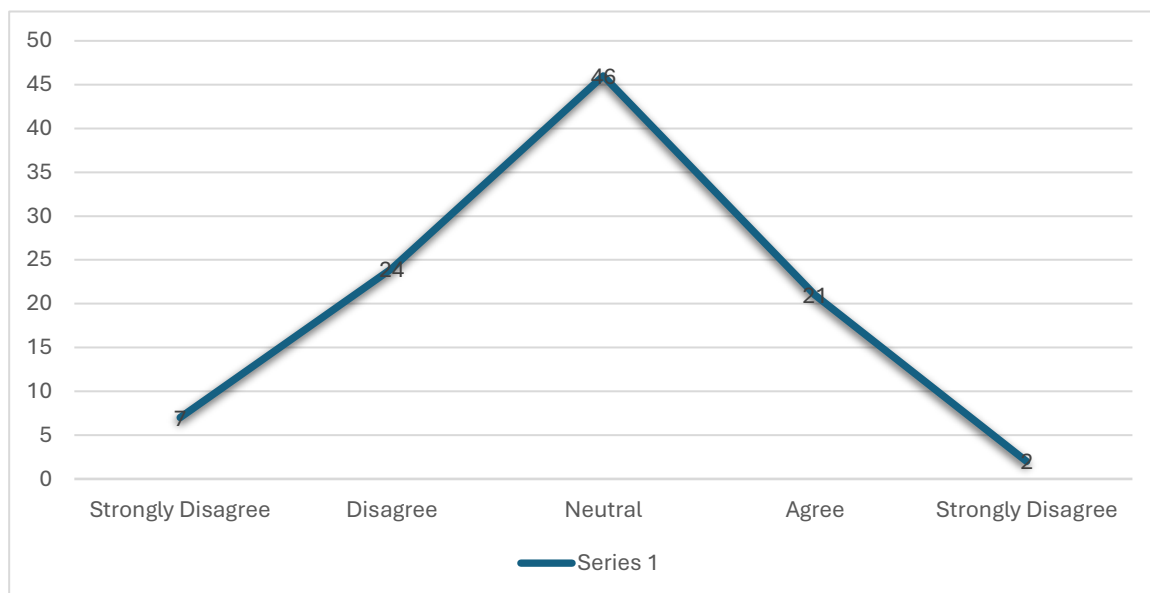
Interpretation: -

Investors' perceptions towards different investment avenues were studied. Mean value 1.44 reflects that risk in fixed deposit is very low. 65% of respondents expressed that there is no risk in fixed deposit investment, 27% respondents expressed that there is low risk, 7% expressed that there is moderate risk and 1% said that there is high risk. returns than inflation. 27% respondents found neutral in giving responses to questions. 7% were found to disagree and 4% strongly disagree with the above statement.

Table No. 5.12: - Investor perception towards Systematic Investment Plan (SIP).

Systematic investment plan (SIP)			
Risk perception	Frequency	Percent	Mean
1) No Risk	32	7%	2.89
2) Low Risk	117	24%	
3) Moderate Risk	228	46%	
4) High Risk	102	21%	
5) Severe Risk	12	2%	
Total	491	100%	

Chart No. 5.11: Investor perception towards Systematic Investment Plan (SIP).



Interpretation: -

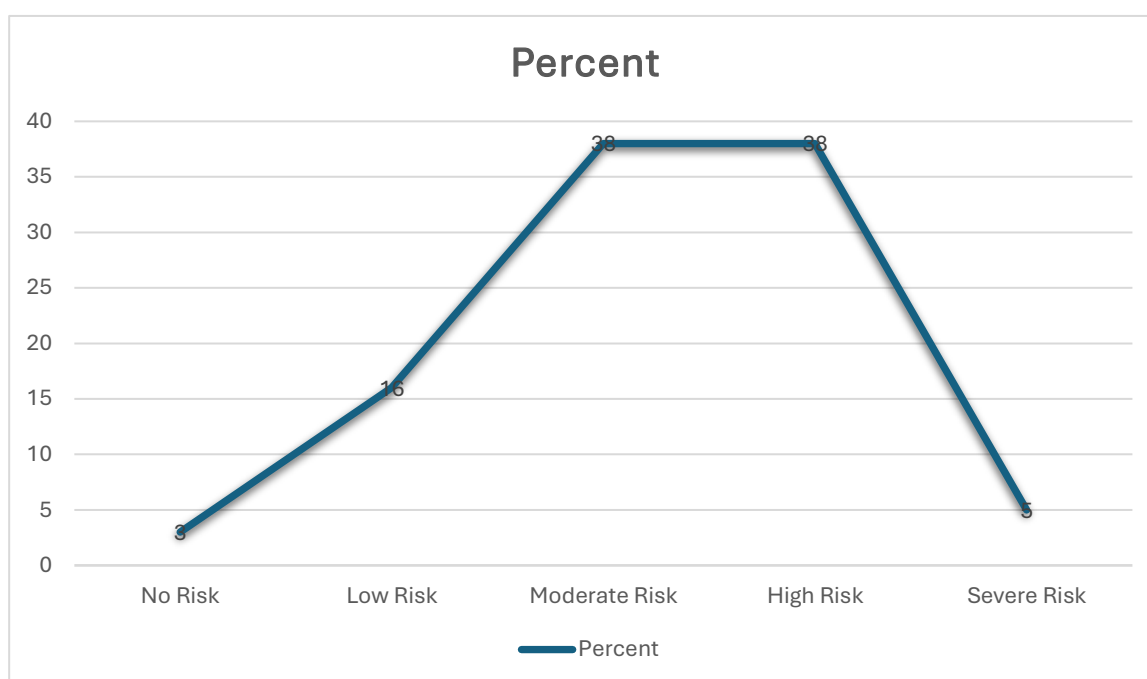
Nowadays a day's systematic investment plan i.e., SIP becomes very popular among the investors. An attempt has been made to understand the respondent's opinion towards SIP. Mean value is 2.89 on the scale of 5 Likert scale of risk and it depicts that there is a moderate risk associated with SIP investment.

From the graph it can be inferred that 46% of the respondents found it moderate risky investment, followed by 245 respondent's responses suggesting that it has low risk, 21% respondents replied that it is with high-risk investment. 7% of the respondents found this option as a safe investment option and 2% of the respondents found it with severe risk Investment Avenue.

Table No. 5.13: - Investor perception towards Equity Shares Investment

Equity Shares Investment			
Risk perception	Frequency	Percent	Mean
1) No Risk	16	3%	3.25
2) Low Risk	80	16%	
3) Moderate Risk	185	38%	
4) High Risk	186	38%	
5) Severe Risk	24	5%	
Total	491	100%	

Chart No. 5.12: - Investor perception towards Equity Shares Investment



Interpretation: -

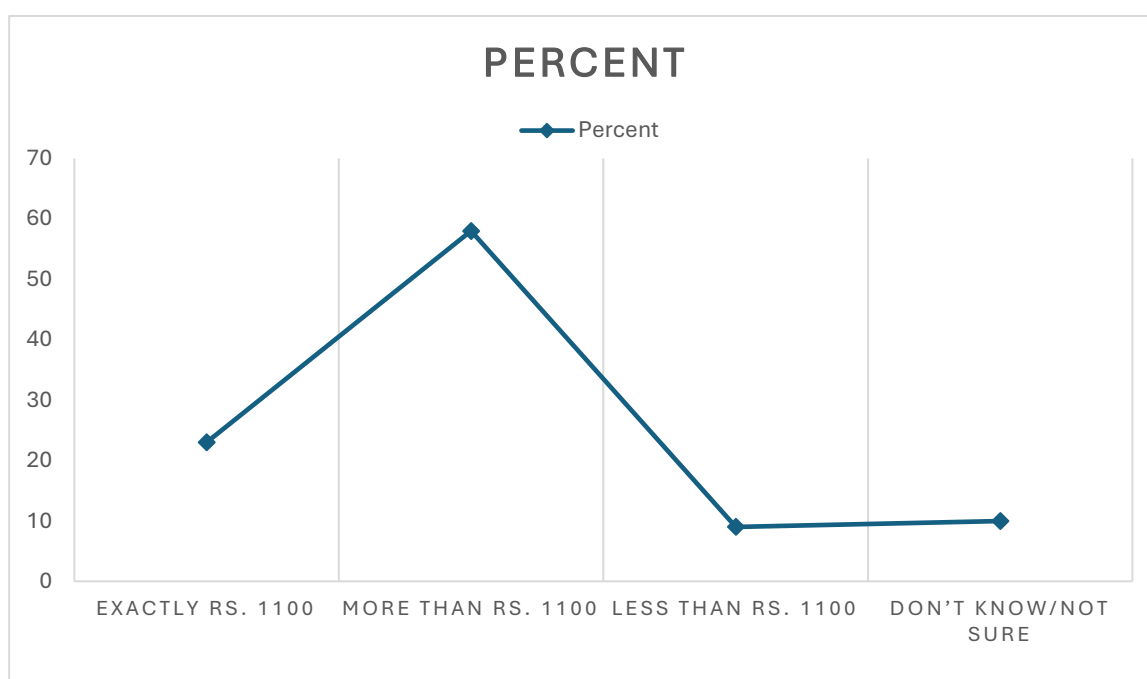
Equity shares investment is very popular among the short as well as long term investors. Mean value of the given data is 3.25 which exceeds moderate and moves towards high-risk investment options. 38% of the respondents found equity share investment option as moderate risk option, followed by 38% of the respondents expressed it as a high-risk investment option as well as 5% of the respondents replied to it as a severe risk investment option. 16% of respondents found it as a low risk investment option and 3% found it without any risk.

Part IV:- Financial Literacy

Table No. 5.14: - Following is the amount that you will get if you invest one thousand rupees for five years in a savings account with an interest rate of 2%.

Answers	Frequency	Percent
Exactly Rs. 1100	113	23%
More than Rs. 1100	286	58%
Less than Rs. 1100	44	9%
Don't Know/Not Sure	48	10%
Total	491	100%

Chart No. 5.13: - Following is the amount that you will get if you invest one thousand rupees for five years in a savings account with an interest rate of 2%.



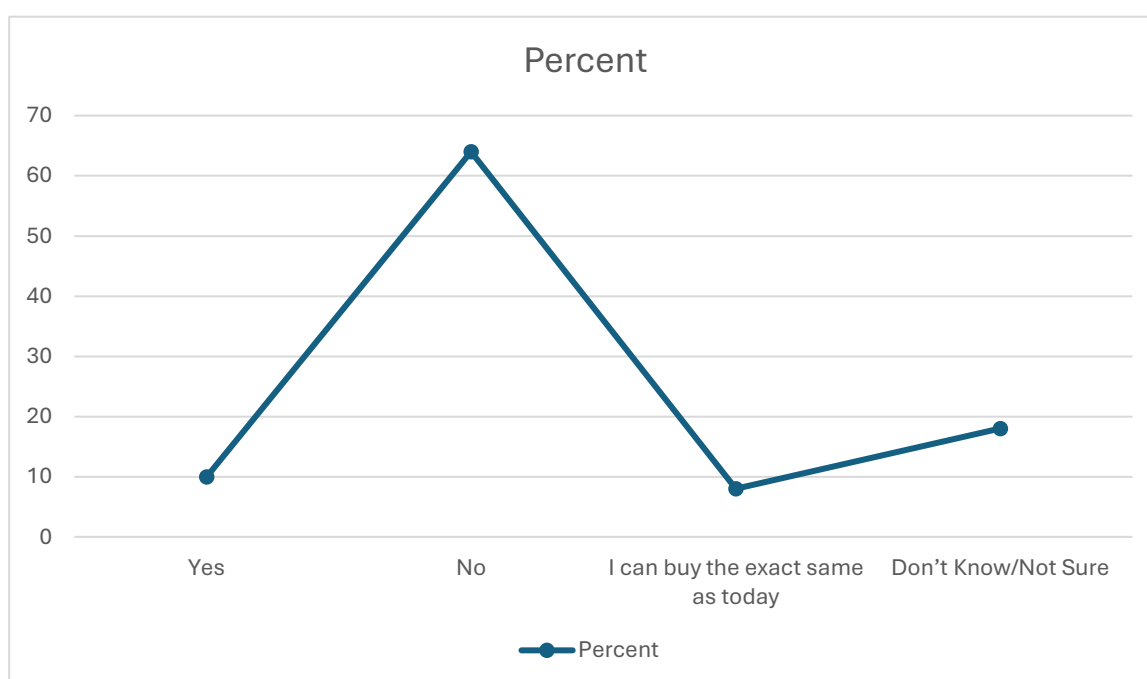
Interpretation: -

Financial literacy of the investors plays an important role in investment decisions as well as investment choice. Correct answer for the above question is “More than 1100”. From the above table it has been observed that there were only 58% of the respondents who answered it correctly and 32% respondents replied to it incorrectly. There were 10% respondents who were not able to calculate and hence replied to it not knowing or not sure. Graph explores that only 58% of the respondents are able to calculate the answer correctly. Majority of the respondents do the investment without having financial literacy aptitude.

Table No. 5.15: - Let us consider if a bank provides 1% of interest on the savings rate annually. Assume inflation rate as 2% per year. So, after one year can you see an increase in investment amount?

Answers	Frequency	Percent
Yes	49	10%
No	313	64%
I can buy the exact same as today	41	8%
Don't Know/Not Sure	88	18%
Total	491	100%

Chart No. 5.14: - Let us consider if a bank provides 1% of interest on the savings rate annually. Assume inflation rate as 2% per year. So, after one year you can see an increase in investment amount?



Interpretation: -

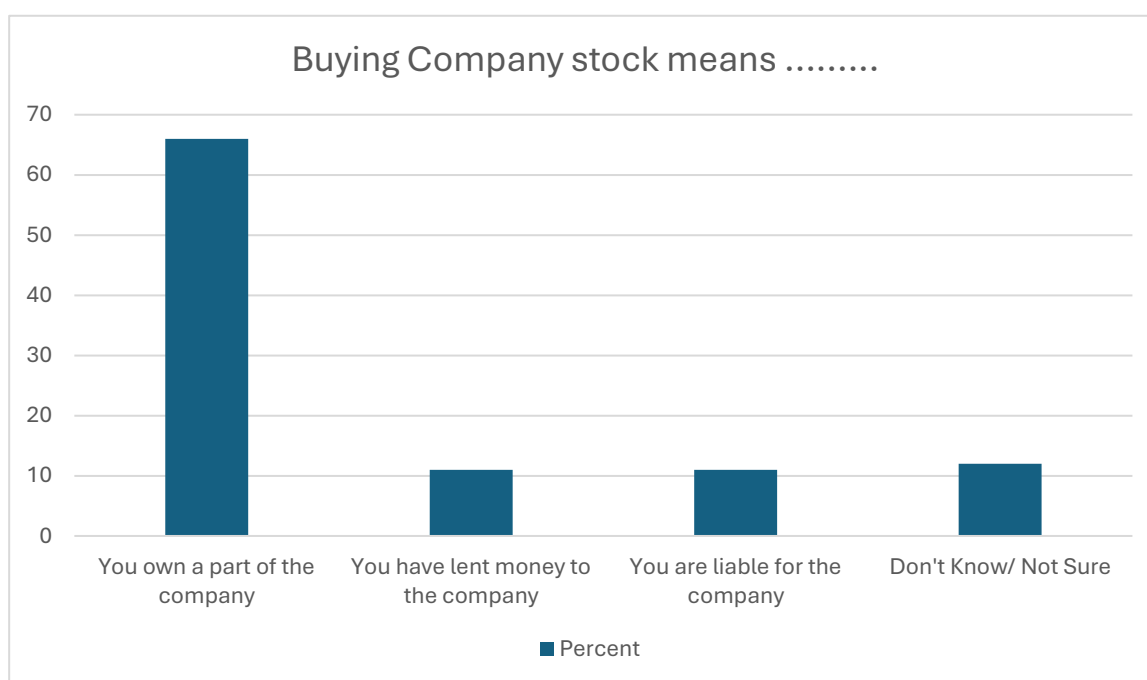
Investors' financial literacy was tested by asking a question on inflation rate. It explains that the bank provides 1% of interest but average prices of goods also increase by 2% with a given inflation rate. Hence there will be a decrease in investment amount.

From the responses it has been observed that 64% of the respondents answered correctly that 64% of the people are financially literate regarding inflation concept. 18% of respondents did not answer correctly. There were 18% of the respondents who were unaware about the inflation concept.

Table No. 5.16: - Buying Company stock means?

Answers	Frequency	Percent
You own a part of the company	322	66%
You have lent money to the company	53	11%
You are liable for the company	55	11%
Don't Know/ Not Sure	61	12%
Total	491	100%

Chart No. 5.15: - Buying Company stock means?



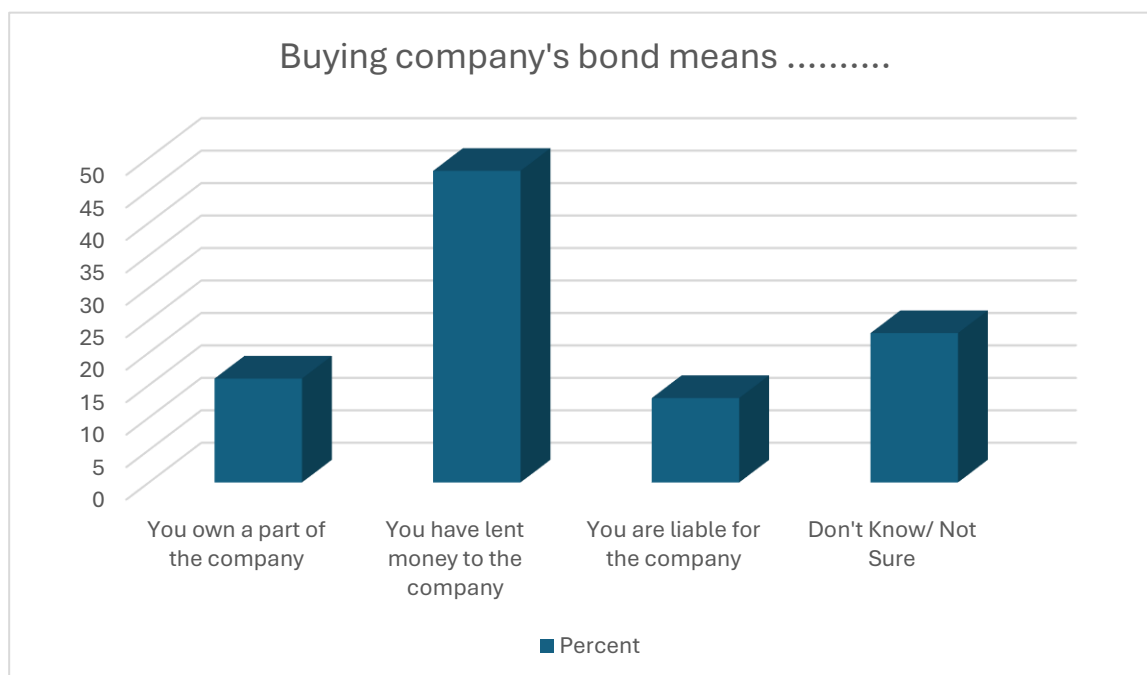
Interpretation: -

Percent Financial literacy through stock market literacy was studied. When an individual buys a stock of the company then he buys a small share of the company. Therefore, the correct answer for the question is “You own a part of the company “. From the graph it has been observed 66% of the respondents answered correctly therefore it can be concluded that 66% respondents were financially aware. 22% of the respondents answered incorrectly. There were 12% of the respondents who were not aware of the answer.

Table No. 5.17: - Buying company's bond means?

Answers	Frequency	Percent
You own a part of the company	77	16%
You have lent money to the company	238	48%
You are liable for the company	64	13%
Don't Know/ Not Sure	112	23%
Total	491	100%

Chart No. 5.16: - Buying company's bond means?



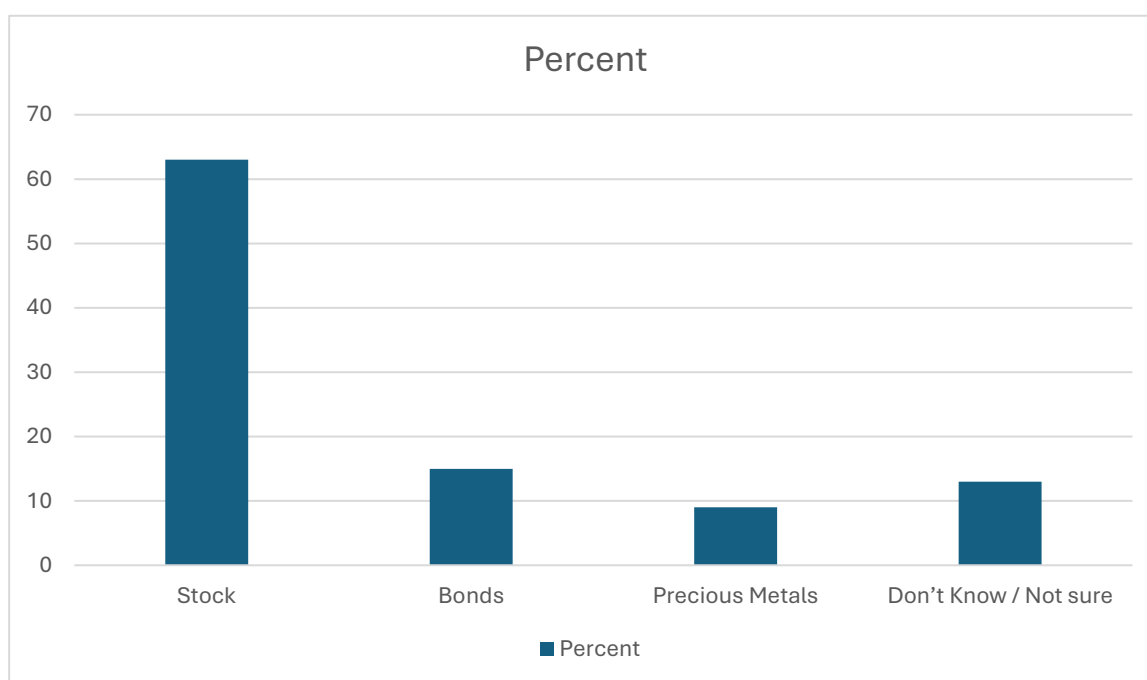
Interpretation: -

Percent Bond is the debt instrument that borrower's avail from the investors for a certain period. Option 2 is the correct answer for the question. From the graph it can be inferred that 48% of the respondents correctly answered hence 48% of respondents were financially aware regarding buying a company's bond. 16% of the respondents incorrectly answered by answering that investors will own a part of the company by buying a bond. Whereas 13% of the respondents answered it as investors will be liable for the company by buying a bond. There were 23% of the respondents who were not aware about buying bond hence did not answer the question.

Table No. 5.18: - Over the period in Indian Market best returns are generated through?

Answers	Frequency	Percent
Stock	309	63%
Bonds	74	15%
Precious Metals	44	9%
Don't Know / Not sure	64	13%
Total	491	100%

Chart No. 5.17: - Over the period in the Indian Market best returns are generated through?



Interpretation: -

A general question was asked on financial literacy regarding the best return investment instrument. Respondent's responses were received as follows.

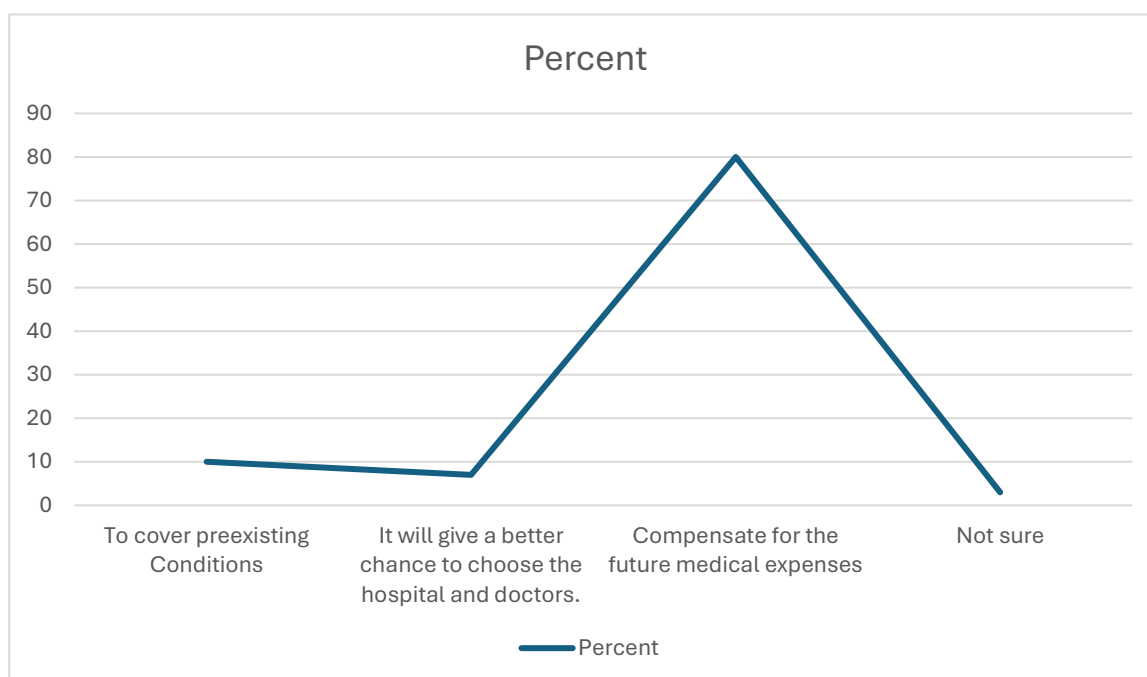
63% of the respondents replied that the stock market has given best returns over the period of time. 15% of respondents replied that bonds have given better returns, 9% replied that precious metals have given better returns and there were 13% of the respondents who were not sure about it.

Part V:- Awareness & Risk Attitude

Table No. 5.19: - Following is the objective to buy Medical Insurance.

Answers	Frequency	Percent
To cover preexisting Conditions	49	10%
It will give a better chance to choose the hospital and doctors.	32	7%
Compensate for the future medical expenses.	394	80%
Not sure	16	3%
Total	491	100%

Chart No. 5.18: - Following is the objective to buy Medical Insurance.



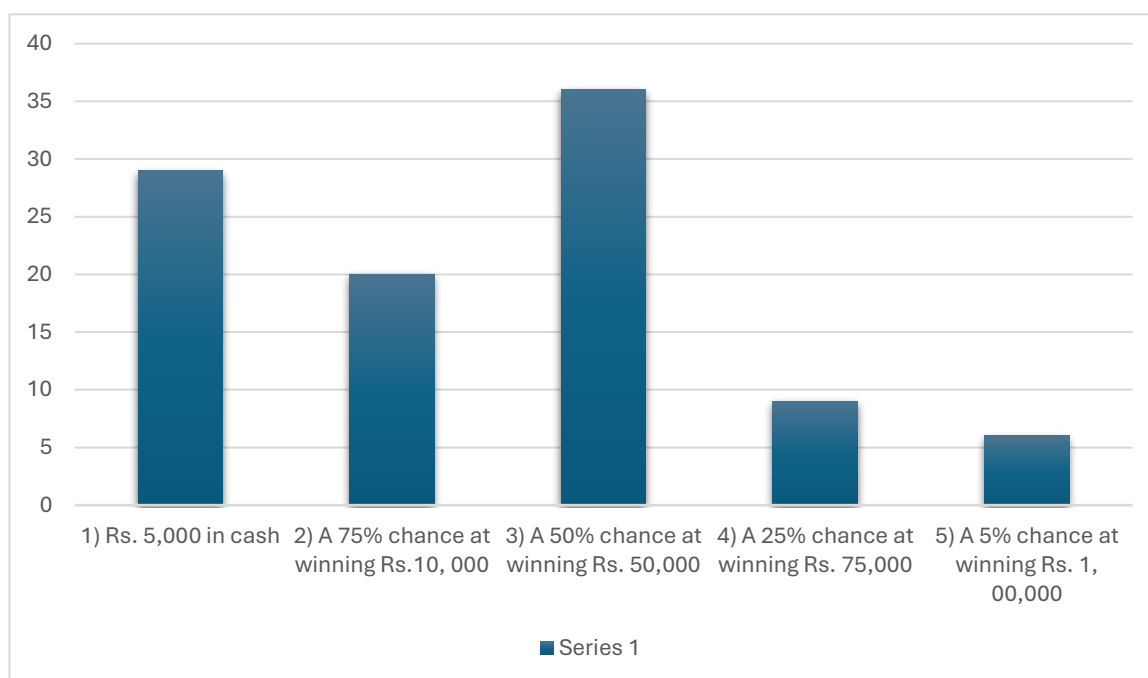
Interpretation: -

Medical expenses are unpredictable as well as out of the common man's wallet. Therefore, having medical insurance has become the necessity of any individual. When respondents were asked about the objective of buying medical insurance 80% of the respondents replied that they buy it for compensating the future medical expenses. 10% respondents replied that the objective to buy medical insurance is to cover pre-existing conditions. 7% respondents replied that it will give a better chance to choose the preferred hospital and doctors. 3% of the respondents were not aware about it.

Table No. 5.20: - Consider that you are participating in a quiz competition. What option would you choose in the following situation?

Answers	Frequency	Percent
1) Rs. 5,000 in cash	143	29%
2) A 75% chance at winning Rs.10, 000	97	20%
3) A 50% chance at winning Rs. 50,000	179	36%
4) A 25% chance at winning Rs. 75,000	44	9%
5) A 5% chance at winning Rs. 1, 00,000	28	6%
Total	491	100%

Chart No. 5.19: - Consider that you are participating in a quiz competition. What option would you choose in the following situation?



Interpretation: -

A Situation based question was asked to respondents regarding risk bearing capacity of the investors. Among all the option maximum individual can Rs. 1 Lakhs but the probability is only 5%, followed by Rs. 75K with chances of win are 25%, Rs. 50 K with chances of win are 50%, then Rs. 10k with chances of win are 75% or minimum Rs. 5000 cash with 100% probability. 36% of the respondents were observed to take 50% chance, 20% of respondents ready to take a small risk of winning 10k with 75% probability, 29% respondents preferred to play safe by winning Rs. 5k cash for sure. There were 9% and 6% of respondents found having more risk capacity to go for option 4 and 5 with 25% and 5% probability to win a big amount.

Chapter 6

Findings, Conclusion, Suggestions and Future Scope of the Study

This chapter includes key findings, inferences, implications, and suggestions based on data analysis. Majorly, findings are based on the theme of the research study i.e., Risk tolerance of the investors while investing in various investment avenues. These findings are drawn considering the sub-topics like the demographic profile of the respondents, investment preferences, financial literacy of the respondents, Risk tolerance, Investment confidence while investing, etc.

6.1 Findings

6.1.1 Data Findings: -

Data findings based on the Demographic Profile of the respondents

- 1) The current study was dominated by male respondents as there were a total of 76% of the respondents involved in the survey and 24% of the respondents were female. These figures might be by chance as a non-random sampling method was used to collect the data.
- 2) From the table of Ages, it can be concluded that the age group 31 to 40 had the highest frequency. It can be inferred that nowadays investors have started their investment in the early phase of their career. It depicts a better future for the young investors.
- 3) From the table of educational qualifications of the investors, it was clear that more than 97 % of the investors are graduates. This depicts educational qualifications influence on the financial investment confidence and thus helps to improve the financial literacy resulting in impacting financial risk tolerance.
- 4) The survey found that there were very few respondents from the age group more than 50 years (5%), and it can be concluded that these age investors invest very cautiously as they might be having a very limited source of income.
- 5) The marital status of the respondents explored that most of the respondents (69%) were married, and it can be inferred that these investors do the investment considering the responsibilities they are having. Even younger age respondents who are unmarried yet have identified the need of saving very early and started their investment in various segments of investment.

Data findings based on the Demographic Profile of the respondents and investment.

- 6) Around 91% of the respondents believe that regular investment is the best policy for investment. It depicts that there is a great potential in the market as positive responses were received from the potential investors regarding their investment attitude.
- 7) Investors were provided 7 different investment avenues with very less risky to high risky options. From the preferences given by the respondents, it has been observed that fixed return investment is mostly preferred by the respondents with the first preference. It is followed by gold investment, insurance, and real estate.
- 8) Equity and commodity were the least preferred by the investors as they carry larger risks in investment.
- 9) Ideally, 30% investment out of the total annual income is considered the best investment. Looking at the data it has been observed that there were only 8% of the respondents investing that ideal percentage of investment. 33% of the respondents found investing their 10% to 20% out of total annual income. This is also a positive picture and shows a better investment strategy for investment.
- 10) Investments are done with various objectives and goals. Some goals are short term while some are long-term goals. The long-term investment is done to achieve long-term goals and vice versa. From the data analysis, it has been observed that 32% of the respondents have invested their capital for 3 to 5 years

which is in between short- and long-term investment. Hence it can be concluded from the data that average respondents invest the capital for a longer duration but couldn't hold it for a longer duration.

Data findings based on Financial Literacy Questions

11) Saving account investment with its interest rates was given and respondents were asked to answer the correct figure that they will receive after 5 years. Only 58% of the respondents could answer it correctly.

12) A question based on the inflation rate and interest rate was asked to understand their knowledge about the inflation rate wise investment. There were 64% of the respondents who were able to answer it correctly.

13) Question regarding buying company stock and bond was asked and 66% and 48% of the respondents respectively could answer it correctly as well. It reflects that respondent are sufficiently aware of the basics of stock and bond investment.

14) Over years in the Indian market best returns are generated by stock. 63% of the respondents were aware of it and hence answered it correctly.

15) The effect of rising interest reduces the bond prices as there is an inverse relationship between interest and bond prices. But only 33% of the respondents were aware of it. It depicts that in this regard the respondent's knowledge was lagging.

Data findings based on Risk Tolerance

16) Investing in equity shares also carries significant risk. From the data analysis, it has been observed that only 31% of the respondents found themselves comfortable in investing in equity shares.

17) Short-term investment in the future and options was preferred by only 15%. Therefore, only 15% of the investors were ready to take the risk and tolerate the risk associated with this option.

18) Investment in commodities also carries potential risk and hence it has been observed from the responses that 60% of the respondents showed less risk tolerance during investment in commodities.

19) A mutual fund is also a product from the equity market, but it is less risky compared to equity shares. Therefore, investors showed their higher risk tolerance in this investment product as 51% of the respondents found this as a comfortable investment option.

20) According to 51% of the respondents, the risk is uncertainty. It indicates that they have less risk tolerance level in investing in risky investment choices. Whereas 21% and 2% of the respondents assume risk as opportunity and thrill. It indicates that these investors have a higher risk tolerance level in investment.

Data findings based on Investor's investment confidence

21) Past performance of the investment avenue plays a significant role in the choice of Investment Avenue. There were approximately 67% of the respondents 152 agreeing that past performance of the investment avenue like growth rate, rate of return, risk probability, etc. are the deciding factors.

22) Investment decisions are based on the information provided by the market like company annual reports, their financial performance. 33% of the respondents strongly agree and 28% were found to agree with the above statement.

Data findings from Cross tables (Frequency tables)

23) Age and investment out of annual income were studied and the result reflects that younger age investors like age 21 to 30 years were found investing more i.e., more than 30% of annual income which is highest among all other age categories.

24) Middle age group investors were observed investing 10% to 20% of their total annual income in various investment choices.

25) Annual income and percentage of annual investment were presented in a cross table. Frequency reflects that income group 5 to 7 and more than 11 lakhs annually investing more i.e., 30% and above annually.

6.1.2 Critical Findings: -

1) Investment Preferences: - From responses of the respondents towards their preferences of investment, it has been observed that Fixed return investment got the highest average preference (22%), followed by Gold (18%) and Insurance (16%). Fourth preferences were given to Real estate (14%), followed by the fifth preference of investment as Government bond (12%). Sixth preference was given by respondents to Mutual funds (11%) and the least preference was found for equity and commodity (7%) investment. Investors were observed investing monthly from 5% to 40% but in an average investing pattern was about 10 to 20% of their monthly income.

2) The objective of Investments: - Investments are done with various objectives and goals. Some goals are short term while some are long-term goals. The long term investment is done to achieve long-term goals and vice versa. From the data analysis, it has been observed that 32% of the respondents have invested their capital for 3 to 5 years which is in between short- and long-term investment. Hence it can be concluded from the data that average respondents invest the capital for a longer duration but couldn't hold it for longer than 5 years.

3) Moderate risk-taking behaviour was observed from most of the responses. From the data analysis, it can be inferred that the higher the age, the lesser the risk-taking nature.

4) Financial Literacy: - To understand financial literacy respondents were asked various parameters of financial literacy. Questions were based on inflation rates, stocks, interest rates, CIBIL score, etc. From the responses it has been observed there is a great scope for financial literacy. Investors need to enhance their investment knowledge so they can invest wisely.

5) Risk Tolerance: - From the risk tolerance parameters asked in the questions most of the respondent's responses were towards selecting moderate to low risk investment avenues. It shows that respondents were not ready to risk investing in risky investment options like stock, future and options, mutual funds. But the demographic factors were observed affecting the risk-taking capacity of the 155 investors. Especially young age respondents were found with more risk appetite for investment compared to aged investors.

6) Investment Confidence: - It has been studied through various questions based on investors' confidence in the questionnaire. Questions were based on past performance of the investment avenue, company reports, attitude towards investment in equities, financial knowledge. From the analysis, it has been observed that investors wish to invest with literate confidence rather than blind confidence. Especially when respondents invest in risky instruments, their confidence depends on the previous records, information, and available capital, etc.

6.2 Conclusion

Research study progressed by studying individual investors' investment decisions along with their risk tolerance while doing investment. Current research has contributed in many ways to the field of behavioural finance, business management, and business research.

The study has been conducted by focussing on the demographic profile of the investors with various demographic factors, preference for investment avenues, awareness of investment avenues, risk tolerance, investment confidence, and financial literacy. The literature review extended the results

inferences by providing bases for quantitative research and the survey extended the results by providing empirical evidence through finding the relationship between various factors. Every individual is busy with economical activities hence financial and risk management practices gain much more importance.

Investors are suggested to invest with the objectives that fulfil your future needs by fulfilling today's needs. Hence Financial literacy is a very crucial factor that leads to the wise investment decision. The study proved that financial literacy has a direct association with investment preferences and risk tolerance. Hence individuals as well as investment organizations should make individual investors more aware of it. Future researchers can conduct the study to verify these results for some other geographical area and consider different investment factors.

In an overall basis it is concluded that financial awareness, risk tolerance, investment confidence, and individual investor's demographic factors decide the investment direction.

6.3 Recommendations and Suggestions

1. The study was conducted for the financial risk tolerance of the investors. Hence from the result, it can be suggested that awareness of various investment options by investors suitable to individual personality should be done.
2. The demographic profile and needs of the respondents should be taken by the advisors as well as investment organizations for better results.
3. Female investors were very few compared to males. Hence during promotion females should be focused more so they will be motivated more for financial investment and can make the investment decisions.
4. Investment is the option that has no age bar hence this investment habit should be inculcated right from college days. Hence college-going students also are focused on spreading awareness of the small-small amount of investment.
5. People should be motivated to at least 20% of their annual income at regular intervals of time for better returns.

6.4 Future scope of the study

Every research has its advantages as well as limitations. Those limitations can be overcome by future research. Following is the future scope of the study.

1. Research scholars can extend the study with the investment options that are missed in the current study.
2. Research scholars can study risk tolerance with other factors that are not mentioned in the current study.
3. Research scholars can conduct the study in different geographical areas to verify the results obtained in the research work.
4. Research scholars can take individual investment avenues for in-depth study. 158
5. The current study focuses on individual investment. It excludes the organizational investment. Hence future studies can be conducted on organizational investment.

REFERENCES

1. James Chen, Investment <https://www.investopedia.com/terms/i/investment.asp>.
2. Rakesh Sharma, “Adam Smith: The Father of Economics”, <https://www.investopedia.com/updates/adam-smith-economics/>
3. John Schmidt (2023), “What Is Inflation And How Does It Work?” <https://www.forbes.com/advisor/investing/what-is-inflation/>
4. Jonathan Berk (2021), Book “Financial Management”, Pearson Publication.
5. Ms. Chetna Singh (2020), ““Study of Women's Financial Literacy – A Case of BHU”, Pacific Business Review International Volume 10 Issue 4.
6. Mansi Jain (2022), “A Study of Investment Objectives of Women Investors”, IJCRT | Volume 7, Issue 2 June 2022 | ISSN: 2320-2882
7. 7. Dr. Ebrahim Kunju Sulaiman (2020), “An Empirical Analysis of Financial Risk Tolerance and Demographic.
8. https://corporatefinanceinstitute.com/resources/knowledge/trading_investing/risk-tolerance/
9. Yu-Je Lee (2021), “The Investment Behaviour, Decision Factors and Their Effects Toward Investment Performance in the Taiwan Stock Market”, Corpus ID: 1072088. jgbm.org
10. van Raaij W.F. (2024) Investment Behaviour. In: Understanding Consumer Financial Behaviour. Palgrave https://doi.org/10.1057/9781137544254_7 Macmillan, New York.
11. Victor Ricciardi and Helen K. Simon (2019), “What is behavioural Finance?”, Business, Education and Technology Journal Fall 2019
12. Jain Priyanka1 and Tripathi L.K. (2019) “Investment Behaviour: An Analytical Review”, World Business ‘n Economy Congress 2019, Advances In Management Vol. 12 (1)
13. Govari Nair, Pravitha N R (2020), “A Study on Investment Behaviour with Special Reference to Kollam Corporation.”, GJRA - Global Journal For Research Analysis, Volume-4, Issue-8, August-2020 • ISSN No 2277 – 8160.
14. Chandra Shekhar, Shailesh Kumar Jain (2018), “Indian Investor’s Behaviour on Various Investment.
15. Prof. Sumandiran Prithiviraj, Prof. Gokul G (2018), “Investment Behaviour of Individual Investors in Coimbatore City”, International Journal of Engineering Research & Technology (IJERT) ISSN: 2278-0181.
16. Mustabsar Awais, M. Fahad Laber (2020), “Impact of Financial Literacy and Investment Experience on Risk Tolerance and Investment Decisions: Empirical Evidence from Pakistan
17. Malgit Amos Akims, Ambrose Jagongo (2021), “financial literacy and its impact on investment decisions in Nigeria: a theoretical perspective”, International Journal of Scientific Research and Innovative Technology ISSN: 2313-3759 Vol. 4 No. 11; November 2021

18. Suzaida Bakar, Amelia Ng Chui Yi (2021), “The Impact of Psychological Factors on Investors’ Decision Making in Malaysian Stock Market: A Case of Klang Valley and Pahang”, *Procedia Economics and Finance* 35 (2021) 319 – 328
19. M. Kannadhasan (2021), “Retail investors’ financial risk tolerance and their risk taking behaviour: The role of demographics as differentiating and classifying factors”, *IIMB Management Review* (2021) 27, 175–184.
20. Vinita Bharat Manek (2019), “mutual fund performance: a study on the effect of portfolio turnover on mutual fund performance in the Indian financial market.”, ISSN: 2278-8808, *SRJIS*, MAR-APRIL 2019, VOL-3/23 www.srjis.com
21. Arathy B, Aswathy A Nair, Anju (2015), “A Study on Factors Affecting Investment on Mutual
22. Nikita Kumari (2020), “Determinants of Insurance Investment: A case study of Life Insurance Corporation of India”, *ELK Asia Pacific Journal of Finance and Risk Management*, ISSN (Print): 0976-7185; ISSN.
23. B. Sumathisri (2020), “Investors’ Preference towards Life Insurance Corporation of India”, *Asian Journal of Social Science Studies*; Vol. 2, No. 3; 2020, ISSN 2424-8517

QUESTIONNAIRE

1) Age: -

- 1) 21 to 30 years
- 2) 31 to 40 years
- 3) 41 to 50 years
- 4) More than 50 years

2) Highest education: -

- 1) Graduate
- 2) Postgraduate
- 3) Other (Please specify)

3) Annual Income: -

- 1) Less than 5 Lakhs
- 2) 5 to 7 Lakhs
- 3) 7 to 9 Lakhs
- 4) 9 to 11 Lakhs
- 5) More than 11 Lakhs

4) Employment status: -

- 1) Employed
- 2) Self-employed
- 3) Not employed, seeking opportunities
- 4) Retired

5) Current Occupation/ Sector: -

- 1) IT and ITES
- 2) Education and Training
- 3) Banking, insurance and NBFC
- 4) Services
- 5) Manufacturing or Automobile
- 6) Retail
- 7) Other (Please specify)

6) Investment out of income is a good habit.

- 1) Strongly Disagree
- 2) Disagree
- 3) Neutral
- 4) Agree
- 5) Strongly Agree

7) Please give the ranking (Preferences) for the following investment avenues.

- 1) Gold
- 2) Insurance
- 3) Fixed Return Investment
- 4) Real Estate
- 5) Mutual Funds
- 6) Government Bonds

8) What percentage of your monthly/Annual income you invest?

- 1) Up to 5%
- 2) 5% to 10%
- 3) 10% to 20%
- 4) 20% to 30%
- 5) More than 30%

9) Length of Investment.

- 1) Up to 1 Years
- 2) 1 to 3 Years
- 3) 3 to 5 Years
- 4) 5 to 10 Years
- 5) More than 10years

10) Your nature while investing.

- 1) Risk Taker
- 2) Take risk after complete study
- 3) Somewhere in between
- 4) Cautious
- 5) Do not take a risk at all

11) Investor perception of the following Investment Instruments

Sr. No.	Opinion	No Risk (1)	Low Risk (2)	Moderate Risk (3)	High Risk (4)	Severe Risk (5)
Fixed Returns	Fixed Deposit					
	Recurring Deposit					
	Public Provident Fund (PPF)					
	Government Bonds					
	National Savings Certificates (NSC)					

12) Investor perception towards Systematic Investment Plan (SIP)

- 1) No Risk
- 2) Low risk
- 3) Moderate Risk
- 4) High Risk
- 5) Severe Risk

13) Mutual Funds investment

Sr. No.	Opinion	No Risk (1)	Low Risk (2)	Moderate Risk (3)	High Risk (4)	Severe Risk(5)
Equity	Equity Shares					
	IPO (Initial public offering)					
Commodity	Futures and Options					
	Commodities					

14) Following is the amount that you will get if you invest one thousand rupees for five years in a savings account with an interest rate of 2%.

- 1) Exactly Rs. 1100
- 2) More than Rs. 1100
- 3) Less than Rs. 1100
- 4) Don't know/Not sure

15) Imagine that the interest rate on your savings account is 1% per year and the inflation rate is 2% per year. After 1 year would you be able to buy more than today with the money in this account?

- 1) Yes
- 2) No
- 3) I can buy the exact same as today
- 4) Don't know/Not sure

16) If you buy a company's stock...

- 1) You own a part of the company
- 2) You have lent money to the company
- 3) You are liable for the company's debts
- 4) Don't know/Not sure

17) If you buy a company's Bond...

- 1) You own a part of the company
- 2) You have lent money to the company
- 3) You are liable for the company's debts
- 4) Don't know/Not sure

18) Over the last 20 years in the Indian financial market, the best average returns have been generated by

- 1) Stocks
- 2) Bonds
- 3) Precious metals
- 4) Don't know/Not sure

19) The main reason to purchase medical insurance is to

- 1) After buying medical insurance, you are normally covered for preexisting conditions.
- 2) You have a better chance to choose doctors
- 3) Compensate for the future medical expenses.
- 4) Don't know/Not sure

20) You are in some quiz competition with the following situation. What would you choose of the following?

- 1) Rs. 5,000 in cash
- 2) A 75% chance at winning Rs.10, 000
- 3) A 50% chance at winning Rs. 50,000
- 4) A 25% chance at winning Rs. 75,000
- 5) A 5% chance at winning Rs. 1, 00,000